NOMURA

Global Markets Research

Mitsui Kinzoku

8 June 2026

5706.T 5706 JP / EQUITY: JAPAN STEEL, NONFERROUS METALS, WIRE & CABLE

We expect sustained growth in volumes of MicroThin for packaging applications

We now assume annual price hikes for copper foil

Rating	Buy
Remains	
Target price Increased from 22,500	**JPY 52,000**
Closing price 8 June 2026	JPY 41,350
Implied upside	+25.8%

We reiterate our Buy rating, raise our forecasts for MicroThin on strong demand for memory and optical module applications

We raise our forecasts and reiterate our Buy rating for Mitsui Kinzoku, having factored in higher volumes and prices for copper foil and higher metal prices. Over the past six months, prices have been hiked across the entire supply chain, boosting expectations for price hikes for the Mitsui Kinzoku's copper foil as well, and the company's share price (as of 5 June) had outperformed the TOPIX by 136%. We think that further growth in volumes for memory and optical module applications and sustained price hikes have yet to be adequately priced in. Having rolled forward the base year, we obtain our target price of ¥52,000 by multiplying our EPS forecast for 29/3, when we expect capacity increases for high-frequency hyper very low profile (HVLP) copper foil and MicroThin to contribute to earnings, by a P/E of around 27x (see page 4 for details).

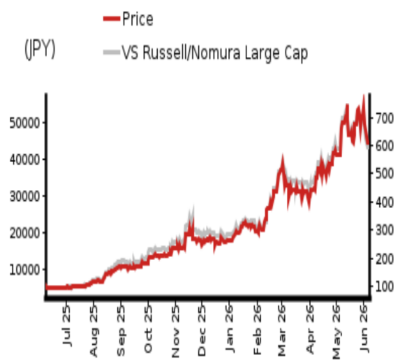
We assume ongoing price hikes for MicroThin as value-added is appropriately reflected

Mitsui Kinzoku has over 95% of the market for microthin copper foil. We raise our sales volume growth forecasts for packaging applications from 10% to 20% for 27/3, from 8% to 17% for 28/3, and from 7% to 13% for 29/3 (*Figure 3*) to reflect increased demand for AI server applications and increased uptake of modified semi-additive process (mSAP) technology in next-generation dynamic random-access memory (DRAM) (see Other notes section on Page 3). In its medium-term business plan starting in 26/3, the company started the Value Based Pricing Project, which aims to calculate value-added on a customer-by-customer basis and reflect this in selling prices. The company hiked prices for HVLP in October 2025 and for MicroThin in March 2026. At the briefing on 21 May, management said that it is continuing with its initiatives, and that the process does not end with price hikes; the company is shifting to a mechanism in which value is continuously assessed in real-time. We now assume that the company will continue to hike MicroThin prices at a pace of once a year in 28/3 and beyond.

We forecast profit decline in 27/3 on disappearance of one-time gains and inventory valuation gains at the metals segment, but we expect copper foil to remain strong

We forecast operating profits of ¥114.5bn in 27/3 (down 16% y-y), ¥136.9bn in 28/3 (up 20%), and ¥155.5bn in 29/3 (up 14%). For 27/3, we expect profits at the metals segment to fall on the disappearance of inventory valuation gains and one-time gains booked in 26/3 and the overlapping of major scheduled maintenance at smelting facilities. We raise our forecasts for: (1) MicroThin volumes; (2) price hikes for MicroThin and HVLP; and (3) revenues from by-products and free metal stemming from rises in metal prices.

Relative performance chart



Source: LSEG, Nomura

Performance / Stock price data

(%)	1M	3M	12M
Absolute returns	-17.3	26.3	723.0
Relative to Russell/Nomura Large Cap	-18.9	19.5	678.2

Market capitalization (¥bn)	2,374.1
52-week low stock price (¥)	4,603
52-week high stock price (¥)	57,700
Shares outstanding (mn)	57.4
Daily turnover (3-M avg) (¥mn)	88,393.8

Note: Market capitalization and shares outstanding in this table include treasury stock.
Source: LSEG, Nomura

Earnings table

	26/3	27/3E			28/3E		29/3E	
	Actual	Old	New	Co's	Old	New	Old	New
Sales (¥mn)	758,532	700,900	850,400	830,000	710,200	887,200	–	914,800
Rec profits (¥mn)	136,736	85,500	114,500	93,000	101,400	136,900	–	155,500
% y-y	79.0	6.9	-16.3	-32.0	18.6	19.6	–	13.6
EPS (¥)	1,595.5	979.3	1,456.0	1,311.1	1,175.2	1,691.9	–	1,926.2
P/E (x)	25.9	42.2	28.4	–	35.2	24.4	–	21.5
EV/EBITDA (x)	15.1	20.2	16.7	–	17.4	14.0	–	12.2
P/B (x)	5.7	5.8	4.9	–	5.2	4.2	–	3.6
Dividend yield (%)	0.6	0.6	0.7	–	0.6	0.7	–	0.7
ROE (%)	24.5	14.6	18.7	–	15.5	18.6	–	18.1
Net debt equity ratio (x)	0.1	0.1	0.1	–	Net Cash	Net Cash	–	Net Cash

Source: Company data, Nomura estimates

Research Analysts

Japan steel, nonferrous metals, wire & cable

Kaori Iwasaki - NSC
kaori.iwasaki@nomura.com
+81 3 6703 1198

Yuji Matsumoto - NSC
yuji.matsumoto@nomura.com
+81 3 6703 1220

Production Complete: 2026-06-08 21:08 UTC

See Appendix A-1 for analyst certification, important disclosures and the status of non-US analysts.

Key data on Mitsui Kinzoku

Valuation and ratio analysis	J-GAAP	J-GAAP	J-GAAP	J-GAAP	J-GAAP
	cons.	cons.	cons.	cons.	cons.
	25/3	26/3	27/3E	28/3E	29/3E
EPS (¥)	1,131.0	1,595.5	1,456.0	1,691.9	1,926.2
BPS (¥)	5,798.1	7,202.1	8,395.9	9,807.8	11,434
DPS (¥)	180.0	245.0	280.0	300.0	300.0
Dividend payout ratio (%)	15.9	15.4	19.2	17.7	15.6
ROE (%)	21.2	24.5	18.7	18.6	18.1
Net margin (%)	9.1	12.0	9.8	10.9	12.0
Asset turnover rate (x)	1.1	1.1	1.2	1.1	1.0
Equity ratio (%)	50.4	59.1	63.3	67.4	70.9
Shares outstanding (mn)	57.2	57.2	57.2	57.2	57.2

Income statement

(¥mn)	25/3	26/3	27/3E	28/3E	29/3E
Sales	712,344	758,532	850,400	887,200	914,800
Operating profits	74,743	130,912	111,700	133,400	151,900
EBITDA	108,074	160,674	144,700	168,400	186,900
Recurring profits	76,410	136,736	114,500	136,900	155,500
Pretax profits	80,768	117,475	118,200	136,900	155,500
Profits attributable to noncontrolling interests	2,843	2,969	3,000	3,000	3,000
Profits attributable to owners of parent	64,662	91,263	83,300	96,800	110,200
(Equity in net income of affiliates)	4,617	7,372	4,400	4,400	4,400

Balance sheet

(¥mn)	25/3	26/3	27/3E	28/3E	29/3E
Current assets	370,889	423,466	463,912	529,893	609,429
Cash and deposits	44,469	58,271	54,412	102,693	169,129
Operating receivables	122,711	127,810	143,300	149,500	154,100
Inventories	179,297	212,884	238,700	249,000	256,700
Long-term assets	287,054	274,015	295,014	303,014	313,014
Total assets	657,943	697,481	758,926	832,907	922,443
Operating payables (current)	48,048	61,294	68,700	71,700	73,900
Interest-bearing debt	168,136	115,618	90,618	74,618	63,618
Total liabilities etc.	317,087	276,571	266,718	256,918	250,418
Net assets	340,856	420,910	492,208	575,989	672,025
Shareholders' equity attributable to parent company	331,546	412,049	480,347	561,128	654,164

Cash flow statement

(¥mn)	25/3	26/3	27/3E	28/3E	29/3E
Operating cash flow	76,697	87,541	90,142	123,300	139,600
Profits attributable to owners of parent	64,662	91,263	83,300	96,800	110,200
Depreciation	33,191	29,762	33,000	35,000	35,000
Amortization of goodwill	140	0	0	0	0
Change in working capital	-21,134	-25,440	-33,900	-13,500	-10,100
Investment cash flow	-20,873	-24,465	-54,000	-43,000	-45,000
Capex	-31,367	-36,499	-54,000	-43,000	-45,000
Free cash flow	55,824	63,076	36,142	80,300	94,600
Financial cash flow	-43,634	-53,157	-41,306	-32,019	-28,164
Change in interest-bearing debt (IBD)	-34,887	-52,518	-25,000	-16,000	-11,000
Dividends	-9,147	-10,867	-16,306	-16,019	-17,164
Cash & cash equivalents	44,465	58,271	53,107	101,388	167,824

Forex assumptions, sensitivity	Forex assumptions (¥)			Forex sensitivity (¥mn)
	27/3 Co's E	27/3E	28/3E	27/3E
USD/JPY	155.00	155.00	155.00	750.0
EUR/JPY	–	–	–	–

Note: Forex sensitivity indicates the impact on our 27/3 forecast for recurring profits from each ¥1 change in our forex assumptions in the direction of a weaker yen.

Source: Company data, Nomura estimates except where noted otherwise

Company profile

Major nonferrous metals company involved in businesses such as zinc smelting. Top in world in ultrathin copper foil and catalysts for motorcycles.

Valuation Methodology

We obtain our target price of ¥52,000 by multiplying our 29/3 EPS forecast of ¥1,926.2 by a P/E of around 27x. We forecast a recurring profit weighting of 60% for copper foil, 28% for metals, and 12% for other products in 29/3, and the weighted average of their respective fair-value P/E multiples yields a fair-value P/E of 27x. For copper foil, we use a fair-value P/E of around 34x, representing a 90–100% premium versus the Russell/Nomura Large Cap manufacturing sector average of just under 17x on 29/3 forecasts. We forecast a medium-term recurring profit CAGR of 15% for copper foil over the three years from 29/3, above the manufacturing sector average of 5%. In 32/3–35/3, we see prospects for sales volume CAGR of 7–8% and annual price hikes of around 7–8% on sustained growth in demand and supply capacity increases in response. We accordingly see prospects for profit CAGR of around 12%. For metals, we use a fair-value P/E of just over 12x, representing a 30–40% discount to the Russell/Nomura Large Cap materials sector average on 29/3 forecasts. We think the discount is warranted because (1) earnings at the metals segment are more volatile than the average for general materials stocks; and (2) our medium-term recurring profit CAGR forecast for the metals segment of 2% over three the years from 29/3 is lower than the benchmark average of 6%. For other operations, we use a fair-value P/E of just over 17x, in line with the Russell/Nomura Large Cap materials sector average.

Risks that may impede the achievement of the target price

Factors that could cause the share price to move below our target price include a drop in metal prices, a slowdown in AI data center investment, a slowdown in memory and smartphone demand, and fiercer competition in copper foil.

Other notes

We estimate that each ¥1 change against USD has an annual impact of around ¥750mn on recurring profits (mainly ¥650mn for metals and ¥100mn for engineered materials). We estimate the annual recurring profit impact of each $100/t change in the price of zinc at ¥1.48bn and in the price of lead at ¥230mn. However, the company has hedged against fluctuations in zinc prices and forex rates to some extent, which should result in a smaller near-term impact. We estimate the annual recurring profit impact of each $100/t change in zinc treatment charges (zinc purchasing terms) per tonne of zinc concentrate at roughly ¥3bn. The PGM price differential is the impact on earnings from temporary gains or losses resulting from changes in prices for PGMs used as raw materials in the catalyst business. Judging from past earnings, we estimate that a $1,000/ozt change in the rhodium price will result in a PGM price differential impact of around ¥500mn at a lag of one quarter. We estimate that inventory valuation gains/losses on zinc change by around ¥100mn for every ¥1,000/t change. The business creation segment mainly includes solid electrolytes for solid-state batteries. mSAP is a type of circuit formation method for PCBs. Circuitry is formed via plating, enabling finer circuitry than the normal subtractive process. HDI = High Density Interconnect, a type of substrate used in smartphone motherboards. The dividend policy is DOE of 3.5% (3.5% of shareholders' equity).

ESG

Mitsui Kinzoku plans to reduce CO_2 emissions by 38% from their 2013 level by 2030 and aims to be carbon neutral in 2050. It introduced an internal carbon pricing scheme from January 2023 and set an internal carbon price of ¥30,000/t for Scope 1 emissions and ¥20,000/t for Scope 2 emissions. In February 2022, it established its purpose as promoting "the well-being of the world through a spirit of exploration and diverse technologies". It has adopted the company with supervisory committee governance format and outside independent directors account for 50% of the board.

We obtain our target price by multiplying our 29/3 EPS forecast by a P/E of around 27x, using a P/E of 34x for copper foil

We obtain our target price of ¥52,000 by multiplying our 29/3 EPS forecast by a P/E of 27x. We continue to calculate fair-value P/E by categorizing the company's products as (1) copper foil, (2) metals, or (3) other products (mainly engineered materials minus copper foil) and taking the weighted average of their respective fair-value P/Es based on their recurring profit weightings based on 29/3 forecasts (60% for copper foil, 28% for metals, and 12% for other products).

For copper foil, we use a fair-value P/E of 34x, representing a 90–100% premium versus the Russell/Nomura Large Cap manufacturing sector average of just under 17x on 29/3 forecasts. We forecast a medium-term recurring profit CAGR of 15% for copper foil over the three years from 29/3, above the manufacturing sector average of 5%. We think the company will be able to maintain its MicroThin market share, which has remained above 90% over the past 10 years, by leveraging operational technologies, quality, and in-house produced machinery and facilities, and we think it will be able to continuously hike prices. In 32/3–35/3, we see prospects for sales volume CAGR of 7–8% and annual price hikes of around 7–8% on sustained growth in demand and supply capacity increases in response. We accordingly see prospects for profit CAGR of around 12% and think now is the right time to price this in. Selling prices for MicroThin had been falling year by year, but we like how memory and optical module applications will now be the mainstay products and how the company has started to continuously seek value-added. For metals, we use a fair-value P/E of just over 12x, representing a 30–40% discount to the Russell/Nomura Large Cap materials sector average on 29/3 forecasts. We think the discount is warranted because (1) earnings at the metals segment are more volatile than the average for general materials stocks; and (2) our medium-term recurring profit CAGR forecast for the metals segment of 2% over the three years from 29/3 is lower than the benchmark average of 6%. For other operations, we use a fair-value P/E of just over 17x, in line with the Russell/Nomura Large Cap materials sector average.

We expect demand for HVLP4 to continue rising through 2028, regard MicroThin as crucial for profits

Mitsui Kinzoku's share price relative to the TOPIX has fallen by 17% over the past two weeks (as of 5 June). We think this is attributable to: (1) South Korea's Lotte Energy Materials announced plans to increase HVLP capacity on 28 April 2026, and the *Korea Economic Daily* reported on 2 June that it had brought forward shipments in view of the strength of demand for Nvidia's Rubin GPUs, raising the prospect of fiercer competition in the HVLP market; and (2) supply–demand conditions are expected to tighten from the second half of 2026 as demand for next-generation AI GPUs and ASICs increases in earnest, and this has put an end to the excessive expectations about further price hikes in the near term. However, on the news about Lotte Energy Materials, we see no need for excessive concern as it has a track record in supplying Nvidia (*Figure 9*), which means that the sector has not seen any increase in new entrants, and the technological barriers to entry remain in place. We expect the market for high-grade products of HVLP4 and above to continue to grow through 2028, and think that five or six companies that can mass produce HVLP4 and above will benefit from volume growth while improving their mix (*Figure 8*, *Figure 10*).

Moreover, the weighting of smartphone applications among MicroThin volumes has fallen from 60% in 25/3 to just under 45% in 26/3, and while for 27/3 we envision lackluster demand for high-end smartphones, including those from North American smartphone producers, the company's main customer base, we expect increased volumes for memory and optical module applications to drive earnings.

We now assume that the company will be able to continuously hike prices for MicroThin, which has over 95% of its market

We infer the reason why selling prices for MicroThin have been falling over the past 10 years is because of its high exposure to smartphone applications and to North American smartphone applications. However, (1) the weighting of high value-added package applications has been rising since 26/3 and the weighting of package applications is likely to drive volumes; and (2) the company will likely continue with value-based pricing initiatives. Therefore, we now assume annual price hikes of around 8% in 28/3 and beyond (we had previously assumed no price hikes from 28/3).

28/3 onwards: We expect earnings to be driven by memory and optical module applications and continuous price hikes for MicroThin

We forecast recurring profits of ¥136.9bn (up 20% y-y) for 28/3 and ¥155.5bn (up 14%)

for 29/3. We raise our 29/3 recurring profit forecast for copper foil by around ¥30.0bn, breaking down as boosts of ¥28.0bn from increased volumes and price hikes for MicroThin and ¥2.0bn from price hikes and mix improvements for HVLP. We forecast that MicroThin will account for around 70% of recurring profits from copper foil in 29/3, while HVLP will account for just under 30%, and we think that MicroThin's margins and its competitive environment and technological changes will be more important for earnings at Mitsui Kinzoku. We estimate that monthly output of MicroThin used for optical module applications increased from 100,000sqm in 26/3 Q1 to over 150,000sqm in 26/3 Q4 thanks to increased adoption for some 800G transceivers. As the industry moves to optical transceivers of 1.6T or greater, a high percentage of which will use mSAP, we expect MicroThin to be adopted for a higher percentage of products, and therefore we envision a full-fledged increase in demand (*Figure 5*). We expect optical modules to account for 6% of MicroThin sales volumes in 27/3, 12% in 29/3, and 18% in 32/3.

Fig. 1: Valuations for AI server-related PCB and materials stocks

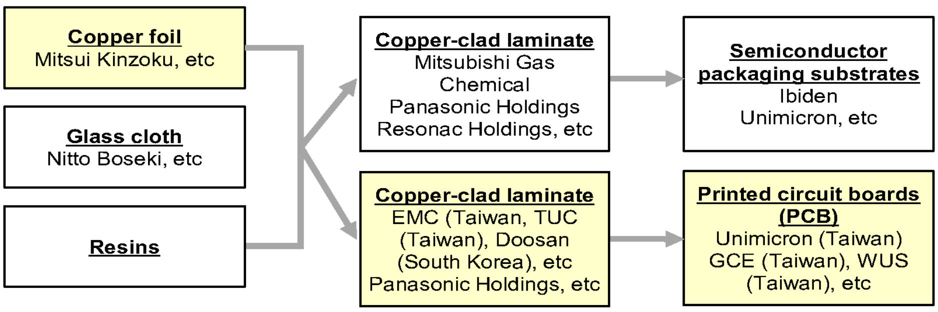
As of 5 June

Ticker	Company	MCAP ($mn)	Operating profit growth 26E	27E	28E	P/E (x) 26E	27E	28E	P/B (x) 26E	ROE (%) 26E	27E	3-month share price performance
High-frequency copper foil (HVLP)												
5706 JP	Mitsui Kinzoku	17,104	-15%	19%	14%	30.6	26.3	23.1	5.3	18.7	18.6	31.7
5801 JP	Furukawa Electric	23,483	56%	50%	33%	41.5	29.9	22.6	7.7	20.0	23.2	81.7
020150 KR	Lotte Energy Materials	2,368	Loss	Loss	Switch to profits	-	91.7	38.8	2.2	-	2.0	79.7
8358 TT	Co-Tech Development	4,943	141%	112%	88%	56.4	27.7	13.7	15.8	33.0	41.3	132.5
Copper-clad laminates (CCL)												
2383 TT	EMC(Elite Material)	55,068	144%	76%	40%	50.2	27.7	19.7	24.8	57.7	69.0	108.2
6274 TT	TUC	15,574	154%	90%	67%	58.1	30.7	18.4	19.2	39.5	52.9	215.1
600183 CH	Shengyi Technology	50,620	55%	38%	31%	65.0	47.3	35.9	16.3	27.9	32.6	108.6
6213 TT	ITEQ	3,123	95%	45%	18%	33.0	23.1	19.6	4.1	13.2	17.1	101.5
Glass cloth												
3110 JP	Nitto Boseki	5,139	42%	32%	28%	39.3	29.5	22.8	4.3	24.6	12.4	-6.7
PCB												
3037 TT	Unimicron	50,556	234%	157%	56%	76.9	34.6	22.2	13.3	18.8	33.3	116.0
688183 CH	Shengyi Electronics	15,774	61%	39%	27%	43.2	30.8	24.1	13.0	34.0	31.7	58.8
2368 TT	GCE	22,786	104%	62%	38%	36.0	22.2	15.3	15.0	52.0	51.9	80.8

Note: (1) Bloomberg consensus figures used for companies not under our coverage (Lotte Energy Materials, Co-Tech, Nitto Boseki, GCE). (2) Copper-clad laminates (CCLs) mainly list manufacturers of copper-clad laminates for PCBs and exclude Japanese companies that mainly produce copper-clad laminates for package applications.
Source: Nomura, based on company and Bloomberg data; Nomura estimates

Figures: Copper foil-related

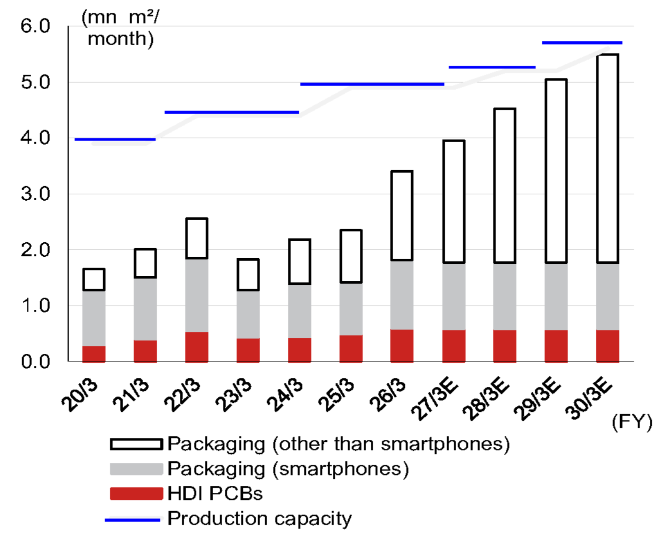
Fig. 2: Copper-clad laminate (CCL) supply chain



Source: Nomura, based on various materials

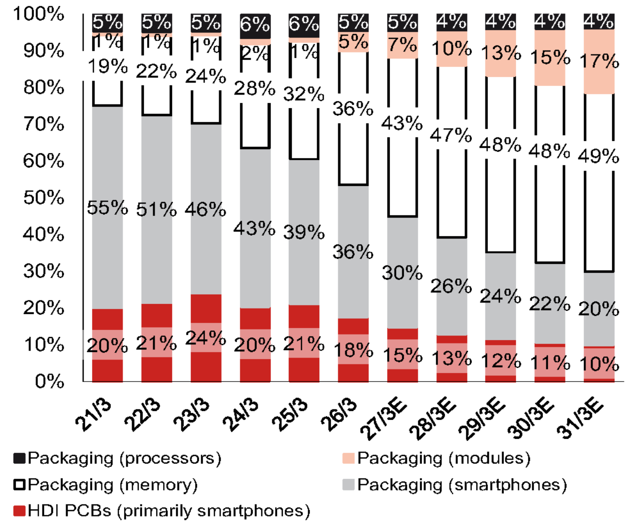
Figures: Copper foil-related (MicroThin)

Fig. 3: MicroThin sales volumes by application



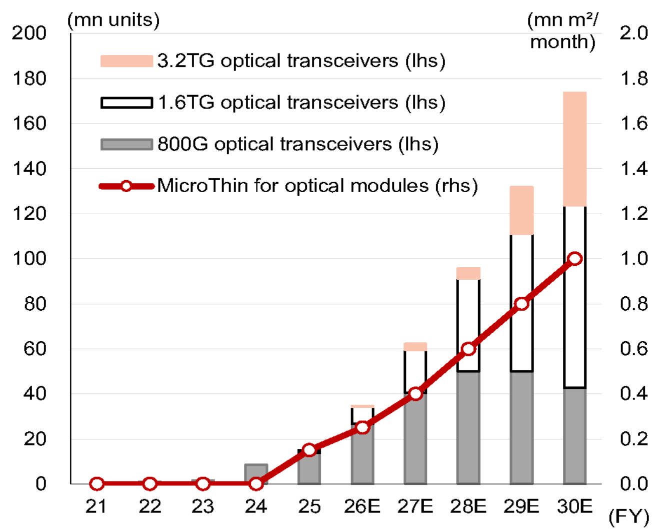
Note: Results estimated by Nomura from materials for 9 January 2025 engineered materials segment briefing.
Source: Company data, Nomura estimates

Fig. 4: MicroThin sales weightings by application



Note: Results estimated by Nomura from materials for 9 January 2025 engineered materials segment briefing.
Source: Company data, Nomura estimates

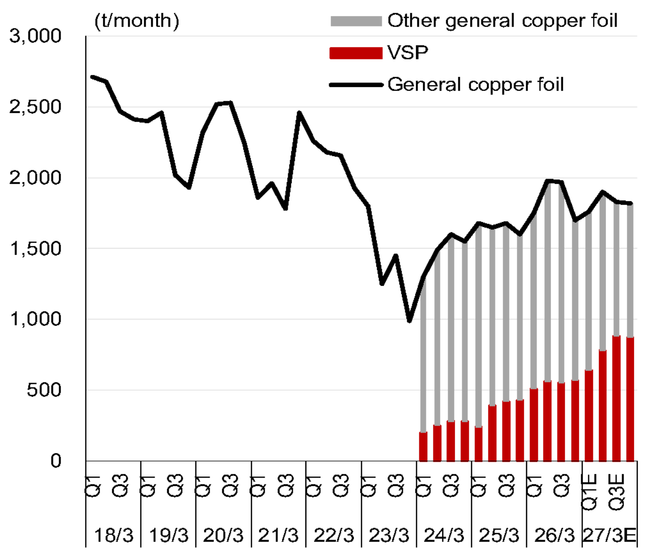
Fig. 5: Demand outlook for optical transceivers and MicroThin sales volumes



Source: Company data, Nomura estimates

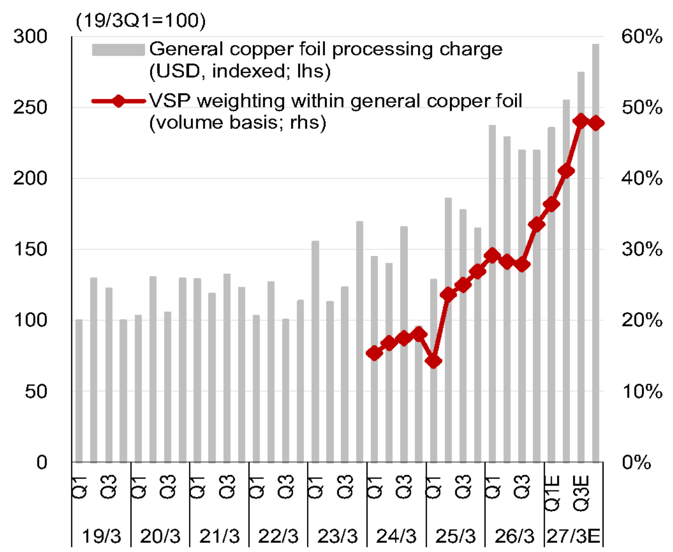
Figures: Copper foil-related (HVLP copper foil)

Fig. 6: Sales volumes of general copper foil



Source: Company data, Nomura estimates

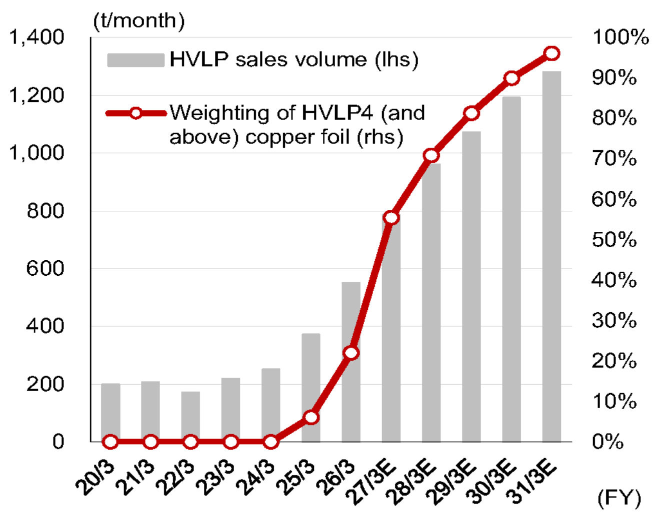
Fig. 7: General copper foil processing charges



Note: On our estimates, processing charges are calculated as selling prices per tonne minus LME copper prices per tonne, although the company does not publish figures.
Source: Company data, Nomura estimates

Fig. 8: Sales volume of copper foil for high-frequency circuit boards (HVLP) at Mitsui Kinzoku

Rise in weighting of high value-added HVLP4 (and above) copper foil



Source: Company data, Nomura estimates

Fig. 9: Structure of PCB/copper-clad laminates for AI applications and supply chain

nVidia

Generation	Content	Time	Structure	CCL Material	CCL Supplier(s)	PCB Supplier(s)
H100	OAM	2H23-1Q25	5+8+5 HDI (18L)	M7	EMC	Unimicron (major), VGT, others
	UBB		24L PCB	M7	EMC	WUS, ISU, TTM, others
B200	OAM	2H24~	5+10+5 HDI (20L)	M8+M4	Doosan	Unimicron, VGT, others
	UBB		18L PCB	M7+M4	Doosan	WUS, ISU, TTM, others
B300	OAM	2H25~	5+10+5 HDI (20L)	M8+M4	Doosan	Unimicron, VGT, others
	UBB		22L PCB	M8+M4	Doosan	WUS, ISU, TTM, others
GB200 (Bianca)	Bianca board	2H24~	5+12+5 HDI (22L)	M8 (HVLP3) +M4	Doosan	VGT (major), Unimicron, others
	Switch tray	2H24~	6+12+6 HDI (24L)	M7 (HVLP2)+M2	EMC	WUS (major), VGT, Unimicron, others
			22L PCB	M8/8.5 (HVLP2) hybrid	EMC, SYTECH	
GB300 (Bianca)	Bianca board	2Q25~	5+12+5 HDI (22L)	M8 (HVLP3) +M4	Doosan	VGT (major), Unimicron, others
	Switch tray	2Q25~	22L PCB	M8/8.5 (HVLP2) hybrid	EMC, SYTECH, Doosan	WUS (major), VGT, Unimicron, others
VR200 (Bianca)	Bianca board	2Q26~	6+14+6 HDI (26L)	M8 (HVLP4) +M4	Doosan	VGT (major), Unimicron, others?
	Mid-plane boards in trays (New)	2Q26~	44L PCB	M9 (k2) (HVLP4,5?)	EMC, others?	VGT, WUS, Kinwong, Unimicron?
	Switch tray	2Q26~	32L PCB	M8.5 (k2, HVLP4)	EMC, others?	WUS, VGT, others?
Rubin Ultra	Backplane? (New)	2027?	26Lx3=78L?, 104L?	M9Q? PTFE+M8?	EMC, SYTECH?	WUS. Unimicron, VGT, Kinwong. others?
	Compute board	2027?	?			
	Switch board	2027?	?			
?	CoWoP board?	TBD?	HDI/mSAP?	M8? M9Q?	EMC or new materials?	ZDT, Unimicron? Others?

AWS

Generation	Content	Time	Structure	CCL Material	CCL Supplier(s)	PCB Supplier(s)
Trainium 2	OAM	2H24~4Q25	HDI+3	M6? (HVLP2, RTF)	Panasonic	Shengyi
	UBB		26L PCB (2 ASICs per board, air cool)	M8 (HVLP2)	EMC, TUC (starting from June 2025)	GCE, Shengyi, FHE
Trainium 2.5 & 3	OAM		HDI+4 (22L)	M6?M7? (HVLP2, RTF)	Panasonic	Shengyi, ZDT
	UBB	Trn2.5: 1Q26~ Trn3: 2Q26~	26L PCB (2 ASICs - air cool, or 4 ASICs - liquid cool)	M8 (HVLP4)	EMC, TUC, others?	GCE, Shengyi, FHE
	PDS switch (New)	2Q26~	22L/26L HLC PCB	M8+M4	EMC	WUS, Shengyi, ZDT, GCE?

Google

Generation	Content	Time	Structure	CCL Material	CCL Supplier(s)	PCB Supplier(s)
TPU v6p	UBB	2H25~	34L PCB (16+18, N+M)	M7, HVLP2	Panasonic, EMC	WUS, ISU, TTM, VGT
TPU 7x	TPU UBB	2H25~	34L PCB (16+18, N+M)	M7, HVLP2	Panasonic, EMC	WUS, ISU, TTM, VGT
	CPU board (New) - x86 CP	4Q25~	16-18L	M6	Panasonic	WUS, TTM, GCE?
TPU 8t, 8i	TPU UBB	mid-26~	36~40L+ PCB	M8+M6, HVLP3	Panasonic, EMC	WUS, ISU, TTM, LCS, VGT?
	CPU board (New) - Axion	2Q26~	22L PCB	M6	EMC, Panasonic	VGT, WUS, ISU, TTM, others?
	8i all-to-all switch (New)	mid-26~	22L PCB	M8?	EMC	GCE, VGT, ZDT, others?
TPU next?	TPU UBB?	2028?	24~26L? HDI?	M8.5? M9Q?	Panasonic? EMC?	WUS, ISU, Unimicron, others?
	More other boards?					

Meta

Generation	Content	Time	Structure	CCL Material	CCL Supplier(s)	PCB Supplier(s)
Athena	OAM, UBB	2Q26?	36L+?	M8+M4	EMC	WUS, ISU, TTM
Iris	OAM, UBB	2H26~	40L+?	M8+M4	EMC	WUS, ISU, TTM

Source: Company data, Nomura

Fig. 10: HVLP production capacity (t/month)

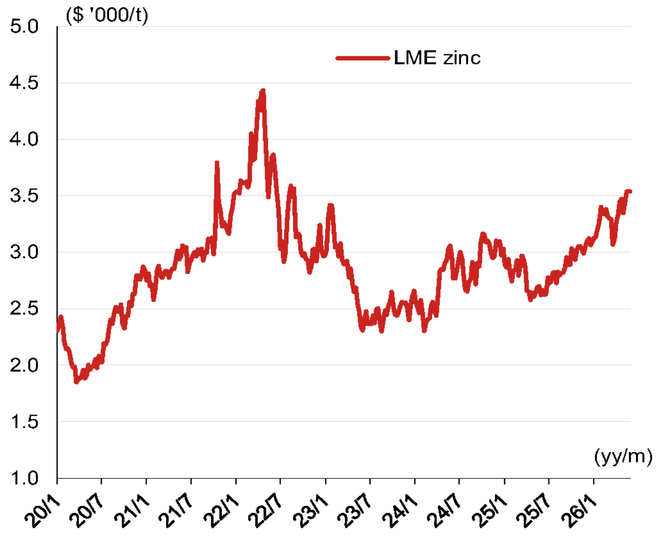
Company	Plant	2023	2024	2025	2026E	2027E	2028E
Mitsui Kinzoku	Taiwan, Malaysia	420	420	620	840	1,000	1,200
Furukawa Electric (23/4 = 100)	Japan (Tochigi), Taiwan	100	200	310	465	465+	465+
Co-Tech (Taiwan)	Taiwan, Malaysia	100	100	208	333	775	1,000
Defu (China)	China	?	?	250	400	1,300	1,300+
Circuit Foil (Europe)	Luxembourg	?	?	567	567	567	567
Lotte Energy Materials (South Korea)	South Korea	?	?	308	558	1,333	1,333+
of which, HVLP4		-	150	150	300	?	?
Fukuda Metal Foil & Powder	Japan (Kyoto)	?	?	?	?	?	?

Note: (1) Lotte Energy Materials is switching the production lines at its Iksan plant from battery foil to HVLP foil. It is considering additional capacity in 2028 and beyond, and is ultimately aiming for annual output of 20,000t (1,666t/month). For HVLP, the company expects global demand CAGR of 26% in 2025–30 and monthly output of 11,750t in 2030. (2) Mitsui Kinzoku plans to increase output to 840t/month in September 2026, 1,000t/month in September 2027, and 1,200t/month in September 2028. (3) Furukawa Electric does not disclose production capacity. Rebased so that April 2023 = 100, based on materials from the business briefing on 4 June 2025. At the briefing on 4 June 2026, the company said it plans to increase production capacity by 50% in 27/3 Q4. (4) Co-Tech plans to increase output from 200t/month to 300t/month in 2026 H1, increase it each quarter to reach 500–600t/month in 2027 H1, and increase it to over 1,000t/month in 2027 H2.

Source: Nomura, based on data disclosed by each company

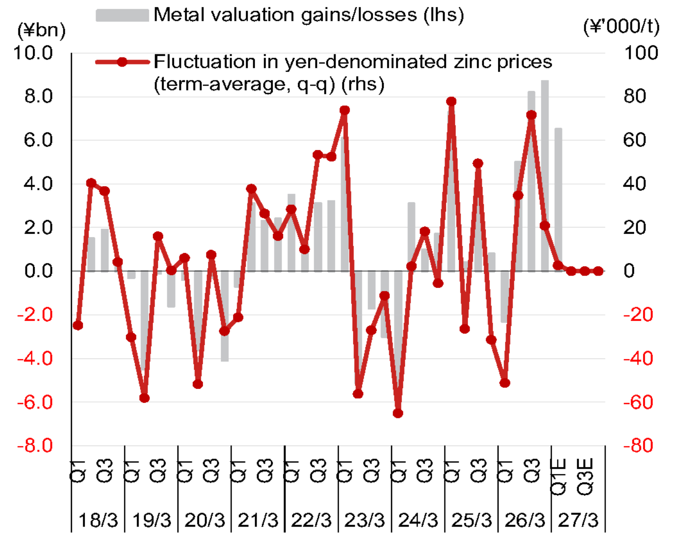
Figures: Metals segment

Fig. 11: Zinc prices (LME futures)



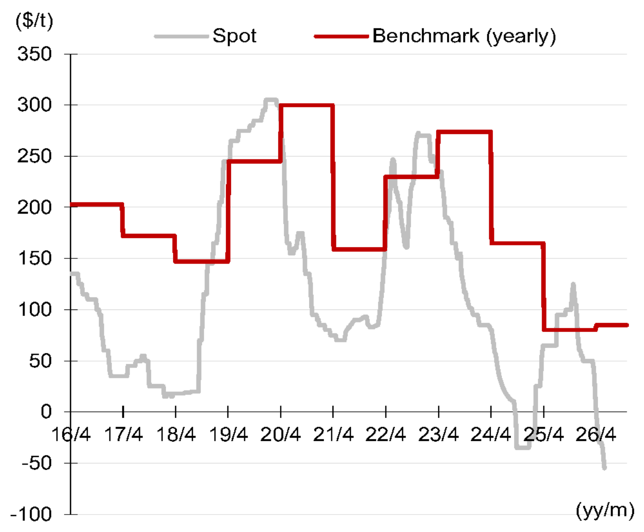
Source: LME, Nomura

Fig. 12: Changes in zinc prices and inventory valuation gains/losses at Mitsui Kinzoku's metals segment



Note: For zinc prices we use LME three-month futures converted to yen at term-average exchange rates.
Source: LME, company data, Nomura estimates

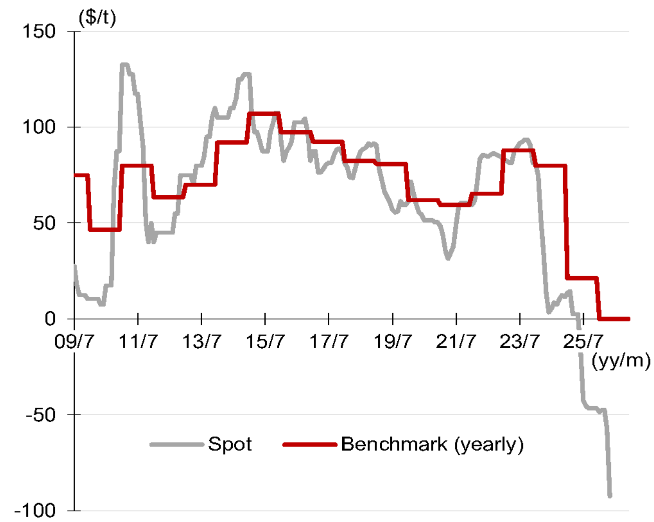
Fig. 13: Zinc treatment charges



Note: (1) We show treatment charges per tonne of zinc concentrate with zinc content of 50%. Treatment charges are charges for melting and extracting metal. Smelters pay mining companies ore (concentrate) fees based on LME ingot prices minus treatment charges and other conditions. Higher treatment charges mean higher revenues for smelting companies, while lower treatment charges mean higher revenues for mining companies. (2) Spot treatment charges are weekly.
Source: Nomura, based on Asian Metal, Bloomberg, and Reuters data

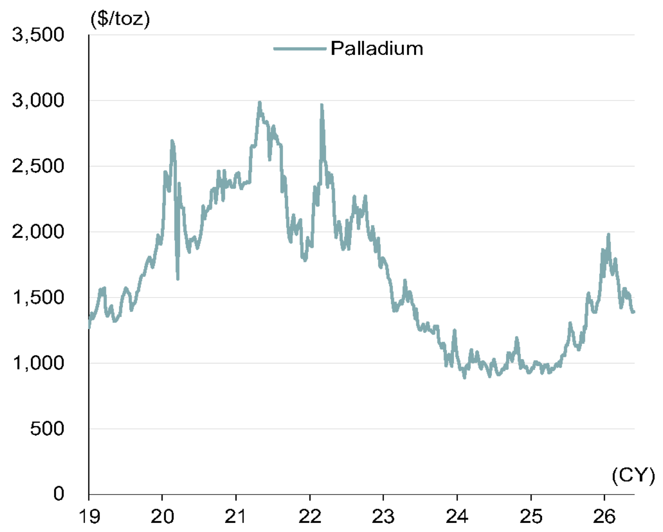
Fig. 14: Copper concentrate treatment charges

Individual negotiations for CY26 contracts at prices above benchmark



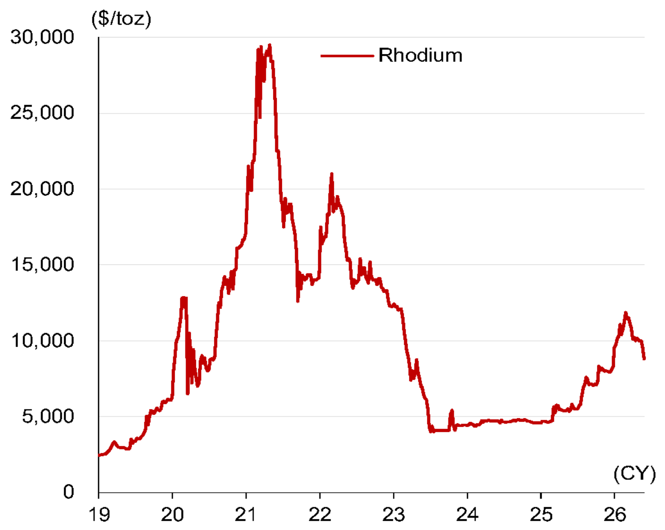
Note: (1) Treatment charges are charges for melting and extracting metal, and other charges for metal refining include refining charges. Smelters pay mining companies ore (concentrate) fees based on LME ingot prices minus treatment charges, refining charges, and other conditions. Higher treatment charges mean higher revenues for smelting companies, while lower treatment charges mean higher revenues for mining companies. (2) Spot prices are monthly, with treatment charges per tonne of copper concentrate with 25% copper content. Most recent spot price is negative $72.5/t as of 17 May. (3) CY26 contracts are based on Bloomberg report of 11 December 2025.
Source: Nomura, based on Asian Metal, Metal Bulletin, and Bloomberg data

Fig. 15: Palladium prices (weekly)



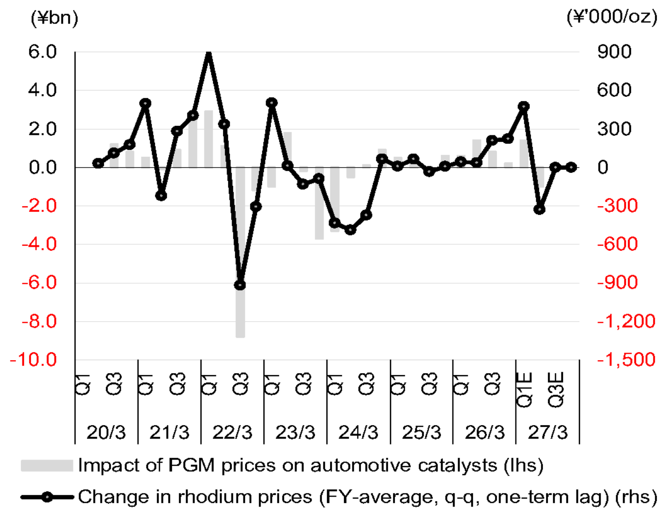
Source: Nomura, based on Johnson Matthey data

Fig. 16: Rhodium prices (weekly)



Source: Nomura, based on Johnson Matthey data

Fig. 17: Impact on profits at Mitsui Kinzoku from PGM price differential, quarterly change in rhodium price



Note: Oct-Dec 2021 saw valuation losses of ¥4.2bn because of the application of lower-of-cost-or market accounting aside from the regular PGM price differential. Application of lower-of-cost-or-market accounting also resulted in losses in Jan–Mar 2023 and Apr–Jun 2023.

Source: Company data, Nomura estimates

Detailed earnings forecasts

Fig. 18: Consolidated earnings by segment

USD/JPY	152.6	150.8	155.0	155.0	155.0	155.0	155.0	155.0	155.0	155.0	155.0	150.0	150.0
Zinc LME ($/t)	2,874	2,968	3,300	3,300	3,300	3,300	3,300	3,300	3,200	3,200	3,200	3,000	3,000
Lead LME ($/t)	2,046	1,953	1,900	1,900	1,900	1,900	1,900	1,900	1,900	1,900	1,900	1,980	1,980
Copper LME ($/t)	9,370	10,825	13,000	13,000	13,000	13,000	13,000	13,000	13,007	13,007	13,007	11,000	11,000
Indium ($/kg)	347	423	700	700	700	700	700	700	700	700	700	360	360
Palladium ($/oz)	979	1,336	1,400	1,400	1,400	1,400	1,400	1,400	1,600	1,600	1,600	1,350	1,350
Rhodium ($/oz)	4,745	7,731	8,800	8,800	8,800	8,800	8,800	8,800	10,000	10,000	10,000	7,800	7,800
Zinc treatment charges ($/t)	165	80	85	80	90	100	110	120	-	-	85	100	120
			Segment and organizational changes from April 2025						26/5 announced			Nomura est (25/12)	
Income statement			Nomura						27/3 Co's			Old	Old
(¥mn, except where noted)	25/3	26/3	27/3E	28/3E	29/3E	30/3E	31/3E	32/3E	H1 E	H2 E	FY E	27/3E	28/3E
Sales	712,344	758,532	850,400	887,200	914,800	939,300	963,300	982,400	410,000	420,000	830,000	700,900	710,200
% y-y	10%	6%	12%	4%	3%	3%	3%	2%	13%	7%	9%	1%	1%
(Segments)													
Engineered materials	246,165	328,447	399,700	434,200	465,300	493,000	520,100	541,600	190,000	189,000	379,000	350,000	366,900
% y-y	-	33%	22%	9%	7%	6%	5%	4%	26%	6%	15%	15%	5%
Metals	324,978	376,689	431,700	438,800	438,800	438,800	438,800	438,800	213,000	221,000	434,000	335,800	335,800
% y-y	-	16%	15%	2%	0%	0%	0%	0%	32%	3%	15%	5%	0%
Corporate	231,763	187,705	135,000	135,200	135,400	135,600	135,800	136,000	66,000	66,000	132,000	133,100	133,500
% y-y	-	-19%	-28%	0%	0%	0%	0%	0%	-41%	-13%	-30%	-27%	0%
Adjustments	-90,563	-134,310	-116,000	-121,000	-124,700	-128,100	-131,400	-134,000	-59,000	-56,000	-115,000	-118,000	-126,000
Operating profits	74,743	130,912	111,700	133,400	151,900	172,200	190,900	209,300	49,000	42,000	91,000	86,500	102,400
Margin	10%	17%	13%	15%	17%	18%	20%	21%	12%	10%	11%	12%	14%
Inventory valuation a	16,700	23,400	7,100	0	0	0	0	0	8,700	200	8,900	0	0
Engineered materials (thin film materials, indium)	3,100	1,900	600	0	0	0	0	0	1,500	0	1,500	0	0
Metal & mineral resources	12,600	19,600	6,500	0	0	0	0	0	7,500	200	7,700	0	0
Corporate	1,000	1,900	0	0	0	0	0	0	-300	0	-300	0	0
PGM price impact (catalysts) b	1,300	3,000	400	0	0	0	0	0	1,000	0	1,000	1,400	0
Inventory valuations + impact of precious metal prices a+b	18,000	26,400	7,500	0	0	0	0	0	7,700	200	7,900	1,400	0
Underlying operating profits (operating profits - inventory/metal price factors)	57,700	104,512	104,200	133,400	151,900	172,200	190,900	209,300	39,000	41,800	80,800	85,100	102,400
Margin	8%	14%	12%	15%	17%	18%	20%	21%	10%	10%	10%	12%	14%
Nonoperating gains/losses	1,667	5,824	2,800	3,500	3,600	3,700	3,800	3,900	1,000	1,000	2,000	-1,000	-1,000
Net interest income (including dividend income)	-1,322	-913	-1,200	-1,200	-1,100	-1,000	-900	-800	-600	-1,000	-1,600	-1,400	-1,400
Equity-method gains/losses	4,617	7,372	4,400	4,400	4,400	4,400	4,400	4,400	1,600	1,700	3,300	300	300
Foreign exchange gains/losses	-2,414	-1,435	-700	0	0	0	0	0	0	0	0	0	0
Other	786	800	300	300	300	300	300	300	0	300	300	100	100
Recurring profits	76,410	136,736	114,500	136,900	155,500	175,900	194,700	213,200	50,000	43,000	93,000	85,500	101,400
% y-y	72%	79%	-16%	20%	14%	13%	11%	10%	28%	-56%	-32%	7%	19%
Margin	11%	18%	13%	15%	17%	19%	20%	22%	12%	10%	11%	12%	14%
(Segments)													
Engineered materials	40,339	66,542	76,400	97,500	118,300	137,200	155,700	170,200	34,500	32,500	67,000	70,100	78,400
% y-y	-	65%	15%	28%	21%	16%	13%	9%	30%	-19%	1%	28%	12%
Margin	16%	20%	19%	22%	25%	28%	30%	31%	18%	17%	18%	20%	21%
Metals	44,513	75,085	49,800	48,800	46,500	47,900	47,100	50,000	22,500	15,000	37,500	22,500	28,000
% y-y	-	69%	-34%	-2%	-5%	3%	-2%	6%	22%	-74%	-50%	-35%	24%
Margin	14%	20%	12%	11%	11%	11%	11%	11%				7%	8%
Corporate	2,391	3,144	300	600	700	800	900	1,000	-500	400	-100	1,900	2,000
Margin	1%	2%	0%	0%	1%	1%	1%	1%				1%	1%
Business creation	-6,400	-6,800	-8,000	-7,000	-7,000	-7,000	-6,000	-5,000	-4,000	-5,000	-9,000	-5,000	-4,000
Margin	-	-	-	-	-	-	-	-				-	-
Adjustments	-4,500	-1,200	-4,000	-3,000	-3,000	-3,000	-3,000	-3,000	-3,000	-1,400	-4,400	-4,000	-3,000
Underlying recurring profits (recurring profits - inventory/metal price factors)	58,400	110,336	107,000	136,900	155,500	175,900	194,700	213,200	40,300	42,800	83,100	84,100	101,400
Margin	8%	15%	13%	15%	17%	19%	20%	22%	10%	10%	10%	12%	14%
Engineered materials	35,900	61,600	75,400	97,500	118,300	137,200	155,700	170,200	32,000	32,500	64,500	68,700	78,400
Metals	31,900	55,500	43,300	48,800	46,500	47,900	47,100	50,000	15,000	14,800	29,800	22,500	28,000
Corporate	1,400	1,200	300	600	700	800	900	1,000	100	1,000	1,100	1,900	2,000
Business creation	-6,400	-6,800	-8,000	-7,000	-7,000	-7,000	-6,000	-5,000	-4,000	-3,500	-7,500	-5,000	-4,000
Adjustments	-4,500	-1,200	-4,000	-3,000	-3,000	-3,000	-3,000	-3,000	-2,800	-2,000	-4,800	-4,000	-3,000
Extraordinary gains	11,632	4,470	7,000	2,500	2,500	2,500	2,500	2,500			Extraordinary gains/losses	2,000	2,000
Extraordinary losses	7,274	23,731	3,300	2,500	2,500	2,500	2,500	2,500	-800	4,500	3,700	4,000	4,000
Pretax profits	80,768	117,475	118,200	136,900	155,500	175,900	194,700	213,200				83,500	99,400
Profits attributable to noncontrolling interests	2,843	2,969	3,000	3,000	3,000	3,000	3,000	3,000				2,500	2,500
Net profits attributable to owners of parent	64,662	91,263	83,300	96,800	110,200	124,900	138,400	151,700	37,000	38,000	75,000	56,000	67,200
% y-y	2.5x	41%	-9%	16%	14%	13%	11%	10%	94%	-47%	-18%	40%	20%
Margin	9%	12%	10%	11%	12%	13%	14%	15%	9%	9%	9%	8%	9%

Note: Zinc prices and forex rates take into account forward contracts. Zinc treatment charges (TCs) are per tonne of zinc concentrate. Figure shows benchmark treatment charge terms for the overall industry, and these treatment charges do not necessary match the company's treatment charges.

Source: Company data, Nomura estimates

Fig. 19: Earnings estimates by segment (quarterly)

USD/JPY	155.9	149.4	152.4	152.6	144.6	147.5	154.2	156.9	155.0	155.0	155.0	155.0
Zinc LME ($/t)	2,833	2,779	3,048	2,838	2,641	2,824	3,165	3,243	3,300	3,300	3,300	3,300
Lead LME ($/t)	2,166	2,041	2,006	1,970	1,947	1,965	1,971	1,931	1,900	1,900	1,900	1,900
Copper LME ($/t)	9,744	9,193	9,171	9,348	9,524	9,788	11,111	12,853	13,000	13,000	13,000	13,000
Indium ($/kg)	324	370	341	353	376	355	367	593	700	700	700	700
Palladium ($/oz)	972	970	1,011	961	990	1,171	1,469	1,715	1,400	1,400	1,400	1,400
Rhodium ($/oz)	4,706	4,693	4,651	4,931	5,453	6,770	7,912	10,790	8,800	8,800	8,800	8,800
Zinc treatment charges ($/t)	165	165	165	165	80	80	80	80	85	85	85	85
					Segment and organizational changes from April 2025							
Income statement	25/3				26/3				27/3			
(¥mn, except where noted)	4–6	7–9	10–12	1–3	4–6	7–9	10–12	1–3	4–6E	7–9E	10–12E	1–3E
Sales	169,869	178,257	177,765	186,453	169,040	195,272	177,895	216,325	204,200	214,800	210,900	220,500
% y-y	15%	8%	8%	10%	0%	10%	0%	16%	21%	10%	19%	2%
(Segments)												
Engineered materials	61,034	63,010	61,771	60,400	71,269	79,249	83,107	94,822	94,000	100,100	101,700	103,900
% y-y	-	-	-	-	17%	26%	35%	57%	32%	26%	22%	10%
Copper foil	23,300	25,100	22,200	22,500	29,900	34,100	34,600	36,400	39,200	43,700	44,000	46,800
% y-y	38%	35%	14%	11%	28%	36%	56%	62%	31%	28%	27%	29%
Exhaust gas catalysts	23,000	23,000	23,500	23,200	26,200	28,700	31,500	34,300	35,000	35,500	35,500	34,700
% y-y	-17%	-16%	-2%	-1%	14%	25%	34%	48%	34%	24%	13%	1%
Other	14,734	14,910	16,071	14,700	15,169	16,449	17,007	24,122	19,800	20,900	22,200	22,400
% y-y												
Metals	73,176	82,054	79,686	90,100	74,033	87,179	93,798	121,679	105,000	111,000	105,000	110,700
% y-y	-	-	-	-	1%	6%	18%	35%	42%	27%	12%	-9%
Corporate	55,300	57,600	57,900	61,000	53,700	58,300	33,900	41,805	33,000	33,000	33,000	36,000
% y-y	-	-	-	-	-3%	1%	-41%	-31%	-39%	-43%	-3%	-14%
Adjustments	-19,600	-24,400	-21,600	-24,900	-30,000	-29,465	-32,935	-41,910	-27,800	-29,300	-28,800	-30,100
	-	-	-	-	-							
Operating profits	23,481	15,340	17,394	18,528	11,424	28,345	31,954	59,189	27,800	27,700	25,700	30,300
Margin	14%	9%	10%	10%	7%	15%	18%	27%	14%	13%	12%	14%
Inventory valuation a	8,800	2,400	4,400	1,100	-2,200	5,300	9,000	11,300	7,100	0	0	0
Engineered materials (thin film materials, indium)	800	1,700	300	300	200	100	200	1,400	600	0	0	0
Metal & mineral resources	7,300	400	4,100	800	-2,300	5,000	8,200	8,700	6,500	0	0	0
Corporate	700	300	0	0	-100	200	600	1,200	0	0	0	0
PGM price impact (catalysts) b	500	200	0	600	600	1,400	800	200	1,400	-1,000	0	0
Inventory valuations + impact of precious metal prices a+b	9,300	2,600	4,400	1,700	-1,600	6,700	9,800	11,500	8,500	-1,000	0	0
Underlying operating profits (operating profits - inventory/metal price factors)	14,900	13,000	13,000	16,800	12,900	21,800	22,800	48,900	19,300	28,700	25,700	30,300
Margin	9%	7%	7%	9%	8%	11%	13%	23%	9%	13%	12%	14%
Nonoperating gains/losses	2,711	-3,144	3,329	-1,229	-1,405	777	3,419	3,033	300	600	900	1,000
Net interest income (including dividend income)	-91	-480	-392	-359	30	-428	-276	-239	0	-400	-400	-400
Equity-method gains/losses	1,528	1,278	928	883	778	619	2,967	3,008	1,000	1,000	1,200	1,200
Foreign exchange gains/losses	1,155	-4,224	2,373	-1,718	-2,261	413	644	-231	-700	0	0	0
Other	119	282	420	-35	48	173	84	495	0	0	100	200
Recurring profits	26,192	12,196	20,723	17,299	10,019	29,122	35,373	62,222	28,100	28,300	26,600	31,300
% y-y	5.2x	3%	2.1x	-1%	-62%	2.4x	71%	3.6x	2.8x	-3%	-25%	-50%
Margin	15%	7%	12%	9%	6%	15%	20%	29%	14%	13%	13%	14%
(Segments)												
Engineered materials	11,656	8,021	11,770	8,900	10,491	15,965	18,402	21,684	18,300	17,800	20,200	19,900
% y-y	-	-	-	-	-10%	99%	56%	2.4x	74%	11%	10%	-8%
Margin	19%	13%	19%	15%	15%	20%	22%	23%	19%	18%	20%	19%
Metals	19,492	4,808	10,256	10,031	3,329	15,109	20,183	36,464	13,500	12,300	9,300	14,700
% y-y	-	-	-	-	-83%	3.1x	97%	3.6x	4.1x	-19%	-54%	-60%
Margin	27%	6%	13%	11%	4%	17%	22%	30%	13%	11%	9%	13%
Corporate	-100	600	900	900	-500	-200	1,200	2,744	-200	-200	300	400
Margin	-	-	-	-	-	-	4%	7%	-	-	1%	1%
Business creation	-1,500	-1,700	-1,700	-1,400	-1,100	-2,700	-1,400	-1,600	-1,500	-2,100	-2,200	-2,200
Margin	-	-	-	-	-	-	-	-	-	-	-	-
Adjustments	-3,400	400	-500	-1,000	-2,200	1,000	-3,000	3,000	-2,000	500	-1,000	-1,500
Underlying recurring profits (recurring profits - inventory/metal price factors)	16,900	9,600	16,300	15,600	11,600	22,400	25,600	110,336	19,600	29,300	26,600	31,300
Margin	10%	5%	9%	8%	7%	11%	14%	51%	10%	14%	13%	14%
Engineered materials	10,356	6,121	11,470	8,000	9,691	14,465	17,402	20,084	16,300	18,800	20,200	19,900
Metals	12,192	4,408	6,156	9,231	5,629	10,109	11,983	27,764	7,000	12,300	9,300	14,700
Corporate	-800	300	900	900	-400	-400	600	601	-200	-200	300	400
Business creation	-1,500	-1,700	-1,700	-1,400	-1,100	-2,700	-1,400	-1,700	-1,500	-2,100	-2,200	-2,200
Adjustments	-3,400	400	-500	-1,000	-2,200	1,000	-3,000	3,000	-2,000	500	-1,000	-1,500

Note: Zinc prices and forex rates take into account forward contracts
Source: Company data, Nomura estimates

Fig. 20: Balance sheet and cash flow

(¥mn)	21/3	22/3	23/3	24/3	25/3	26/3	27/3E	28/3E	29/3E
Current assets	313,827	359,045	347,165	344,597	370,889	423,466	463,912	529,893	609,429
Cash & deposits	30,413	29,615	26,817	32,483	44,469	58,271	54,412	102,693	169,129
Accounts receivable	113,209	122,227	110,959	117,921	122,711	127,810	143,300	149,500	154,100
Inventory assets	150,132	177,474	176,250	165,231	179,297	212,884	238,700	249,000	256,700
Other current assets	20,073	29,729	33,139	28,962	24,412	24,501	27,500	28,700	29,500
Long-term assets	281,279	278,832	284,728	296,034	287,054	274,014	295,014	303,014	313,014
Property, plant and equipment	200,037	197,124	197,758	199,008	191,155	177,975	198,989	206,989	216,989
Total intangible long-term assets	7,971	9,137	8,772	9,054	9,205	6,870	6,900	6,900	6,900
Total investments, other assets	73,270	72,571	78,197	87,971	86,693	89,169	89,125	89,125	89,125
Total assets	595,107	637,878	631,894	640,631	657,943	697,481	758,926	832,907	922,443
Current liabilities	195,196	223,800	198,795	204,495	189,472	172,273	182,426	187,626	191,126
Accounts payable	45,660	61,073	56,208	50,326	48,048	61,294	68,700	71,700	73,900
Short-term borrowings	100,295	105,160	93,847	99,970	83,356	46,626	41,626	40,626	39,626
Other current liabilities	49,241	57,567	48,740	54,199	58,068	64,353	72,100	75,300	77,600
Long-term liabilities	189,349	164,029	171,691	150,117	127,615	104,298	84,292	69,292	59,292
Bonds & long-term borrowings	150,611	121,967	127,614	103,053	84,780	68,992	48,992	33,992	23,992
Other long-term liabilities	38,738	42,062	44,077	47,064	42,835	35,306	35,300	35,300	35,300
Total liabilities	384,546	387,829	370,487	354,613	317,087	276,571	266,718	256,918	250,418
Owners' equity	197,874	241,075	243,360	256,164	311,921	392,333	460,632	541,413	634,449
Capital	42,129	42,149	42,178	42,223	42,289	42,377	42,377	42,377	42,377
Additional paid-in capital	22,631	18,701	18,729	17,503	17,683	17,609	17,609	17,609	17,609
Retained earnings	133,739	180,851	183,080	197,068	252,582	332,999	399,993	480,774	573,810
Treasury stock	625	626	628	630	634	653	653	653	653
Accumulated other comprehensive income	1,093	-1,383	10,010	22,357	19,624	19,715	19,715	19,715	19,715
Noncontrolling interests	11,591	10,356	8,035	7,495	9,310	8,861	11,861	14,861	17,861
Total net assets	210,560	250,048	261,406	286,018	340,856	420,910	492,208	575,989	672,025

Cash flow							Nomura			26/5 announced
(¥mn)	21/3	22/3	23/3	24/3	25/3	26/3	27/3E	28/3E	29/3E	27/3 Co's FY E
Operating cash flow	27,565	60,672	43,009	75,343	76,697	87,541	90,142	123,300	139,600	110,000
Net profits attributable to owners of parent	44,771	52,088	8,511	25,989	64,662	91,263	83,300	96,800	110,200	
Depreciation	33,882	33,167	33,646	34,387	33,191	29,762	33,000	35,000	35,000	33,000
Other	-51,088	-24,583	852	14,967	-21,156	-33,484	-26,158	-8,500	-5,600	
Investment cash flow	-16,324	-25,538	-31,641	-34,914	-20,873	-24,465	-54,000	-43,000	-45,000	-90,000
Capex	-28,176	-27,456	-32,515	-32,039	-31,367	-36,499	-54,000	-43,000	-45,000	-56,000
Other	11,852	1,918	874	-2,875	10,494	12,034	0	0	0	-34,000
Financial cash flow	-15,240	-37,521	-14,683	-36,557	-43,634	-53,157	-41,306	-32,019	-28,164	
Change in interest-bearing debt	14,700	-23,779	-5,666	-18,438	-34,887	-52,518	-25,000	-16,000	-11,000	
Other	-29,940	-13,742	-9,017	-18,119	-8,747	-639	-16,306	-16,019	-17,164	
(Dividend paid)	-3,997	-4,853	-6,283	-12,000	-9,147	-10,867	-16,306	-16,019	-17,164	
Cash & equivalents at FY-start	32,666	30,402	29,614	26,816	32,479	44,465	58,271	53,107	101,388	
Cash & equivalents at FY-end	30,402	29,614	26,816	32,479	44,465	58,271	53,107	101,388	167,824	
Change in cash & equivalents	-2,264	-788	-2,798	5,663	11,986	13,806	-5,164	48,281	66,436	

Source: Company data, Nomura estimates

Fig. 21: Key financial indicators

Key financial indicators	21/3	22/3	23/3	24/3	25/3	26/3	Nomura 27/3E	28/3E	29/3E	26/5 announced 27/3 Co's FY E
EPS (¥)	784.0	911.9	149.0	454.6	1,131.0	1,595.5	1,456.0	1,691.9	1,926.2	1,311.1
CFPS (¥)	1,377.3	1,492.6	738.0	1,056.1	1,711.5	2,115.7	2,032.8	2,303.7	2,537.9	
BPS (¥)	3,484.2	4,196.4	4,434.4	4,872.3	5,798.1	7,202.1	8,395.9	9,807.8	11,434.0	
DPS (¥)	85.0	110.0	140.0	140.0	180.0	245.0	280.0	300.0	300.0	280.0
Payout ratio (%)	10.8	12.1	94.0	30.8	15.9	15.4	19.2	17.7	15.6	21.4
DOE (%)	2.5	2.6	3.3	3.1	3.3	3.6	3.5	3.2	2.7	
Total shareholder return ratio (%)	10.8	12.1	94.0	30.8	15.9	15.4	19.2	17.7	15.6	
Shares out (FY-end, mn)	57	57	57	57	57	57	57	57	57	
Shares out (FY-avg, mn)	57	57	57	57	57	57	57	57	57	
ROE (%)	24.6	23.7	3.5	9.8	21.2	24.5	18.7	18.6	18.1	
ROA (%)	9.6	10.1	2.2	6.2	11.7	19.5	15.4	16.9	17.4	
Shareholders' equity to total assets (%)	33.4	37.6	40.1	43.5	50.4	59.1	63.3	67.4	70.9	62.1
D/E ratio (x)	1.2	0.9	0.8	0.7	0.5	0.3	0.2	0.1	0.1	0.23
Net D/E ratio (x)	1.0	0.8	0.7	0.6	0.4	0.1	0.1	-0.0	-0.2	0.11
Total interest-bearing debt (¥mn)	250,906	227,127	221,461	203,023	168,136	115,618	90,618	74,618	63,618	110,000
Total net interest-bearing debt (¥mn)	220,493	197,512	194,644	170,540	123,667	57,347	36,206	-28,075	-105,511	51,500
Free cash flow (¥mn)	11,241	35,134	11,368	40,429	55,824	63,076	36,142	80,300	94,600	20,000
Accounts receivable turnover ratio (x)	4.6	5.2	5.9	5.5	5.8	5.9	5.9	5.9	5.9	
Inventory assets turnover ratio (x)	3.5	3.6	3.7	3.9	4.0	3.6	3.6	3.6	3.6	
Other current assets turnover ratio (x)	26.1	21.3	19.7	22.3	29.2	31.0	31.0	31.0	31.0	
Accounts payable turnover ratio (x)	11.5	10.4	11.6	12.9	14.8	12.4	12.4	12.4	12.4	
Other current liabilities turnover ratio (x)	10.6	11.0	13.4	11.9	12.3	11.8	11.8	11.8	11.8	

Note: For dividends, aims for DOE of 3.5%. Company defines “E” in “DOE” as shareholders’ equity in the narrow sense rather than net worth (including accumulated other comprehensive income), and we have used the same definition in this figure.

Source: Company data, Nomura estimates

Appendix A-1

This report has been produced by Nomura Securities Co., Ltd. (NSC), Japan.
See Disclaimers for Nomura Group entity details.

Analyst Certification

We, Kaori Iwasaki and Yuji Matsumoto, hereby certify (1) that the views expressed in this Research report accurately reflect our personal views about any or all of the subject securities or issuers referred to in this Research report, (2) no part of our compensation was, is or will be directly or indirectly related to the specific recommendations or views expressed in this Research report and (3) no part of our compensation is tied to any specific investment banking transactions performed by Nomura Securities International, Inc., Nomura International plc or any other Nomura Group company.

Issuer Specific Regulatory Disclosures

The terms "Nomura" and "Nomura Group" used herein refer to Nomura Holdings, Inc. and its affiliates and subsidiaries, including Nomura Securities International, Inc. ('NSI') and Instinet, LLC ('ILLC'), U. S. registered broker dealers and members of SIPC.

Materially mentioned issuers

Issuer	Ticker	Price	Price date	Stock rating	Sector rating	Disclosures
Mitsui Kinzoku	5706 JP	JPY 41,350	08-Jun-2026	Buy	N/A	A4,A5,A6,A11

A4 The Nomura Group has had an investment banking services client relationship with the subject company during the past 12 months.

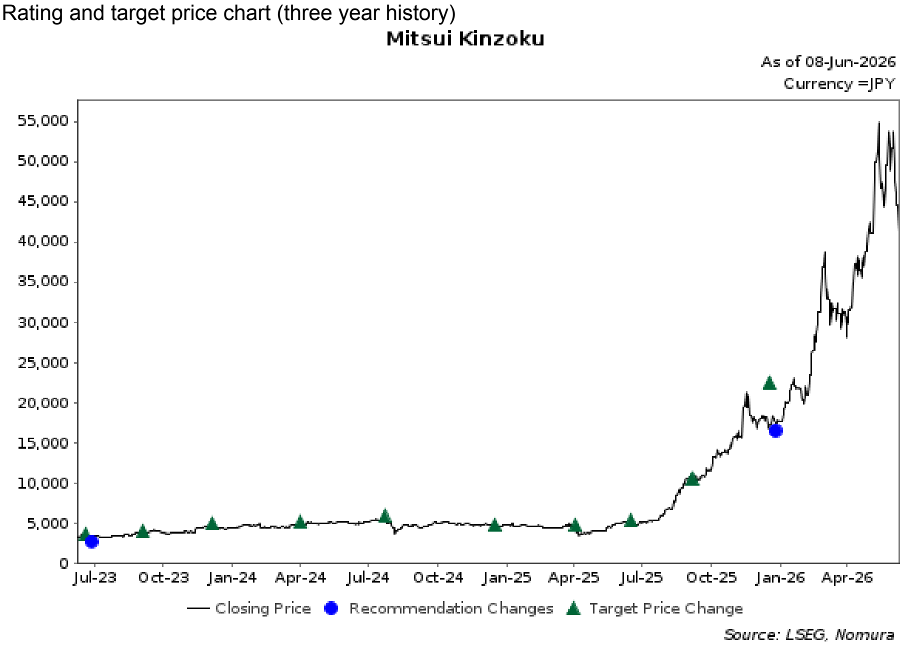
A5 The Nomura Group has received compensation for investment banking services from the subject company in the past 12 months.

A6 The Nomura Group expects to receive or intends to seek compensation for investment banking services from the subject company in the next three months.

A11 The Nomura Group beneficially owns 1% or more of a class of common equity securities of the subject company.

Mitsui Kinzoku (5706 JP) **JPY 41,350 (08-Jun-2026)** Buy (Sector rating: N/A)

Rating and target price chart (three year history)



Date	Rating	Target price	Closing price
17-Dec-25	Buy		17,200
17-Dec-25		22,500	17,200
05-Sep-25		10,500	10,550
16-Jun-25		5,300	4,751
03-Apr-25		4,650	4,023
16-Dec-24		4,730	4,691
22-Jul-24		5,800	5,359
01-Apr-24		5,050	4,514
05-Dec-23		4,950	4,461
04-Sep-23		3,950	3,824
19-Jun-23	Neutral		3,441
19-Jun-23		3,580	3,441

For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology We obtain our target price of ¥52,000 by multiplying our 29/3 EPS forecast of ¥1,926.2 by a P/E of around 27x. We forecast a recurring profit weighting of 60% for copper foil, 28% for metals, and 12% for other products in 29/3, and the weighted average of their respective fair-value P/E multiples yields a fair-value P/E of 27x. For copper foil, we use a fair-value P/E of around 34x, representing a 90–100% premium versus the Russell/Nomura Large Cap manufacturing sector average of just under 17x on 29/3 forecasts. We forecast a medium-term recurring profit CAGR of 15% for copper foil over the three years from 29/3, above the manufacturing sector average of 5%. In 32/3–35/3, we see prospects for sales volume CAGR of 7–8% and annual price hikes of around 7–8% on sustained growth in demand and supply capacity increases in response. We accordingly see prospects for profit CAGR of around 12%. For metals, we use a fair-value P/E of just over 12x, representing a 30–40% discount to the Russell/Nomura Large Cap materials sector average on 29/3 forecasts. We think the discount is warranted because (1) earnings at the metals segment are more volatile than the average for general materials stocks; and (2) our medium-term recurring profit CAGR forecast for the metals segment of 2% over three the years from 29/3 is lower than the benchmark average of 6%. For other operations, we use a fair-value P/E of just over 17x, in line with the Russell/Nomura Large

Cap materials sector average.
Risks that may impede the achievement of the target price Factors that could cause the share price to move below our target price include a drop in metal prices, a slowdown in AI data center investment, a slowdown in memory and smartphone demand, and fiercer competition in copper foil.

Important Disclosures

The lists of issuers that are affiliates or subsidiaries of Nomura Holdings Inc., the parent company of Nomura Securities Co., Ltd., issuers that have officers who concurrently serve as officers of Nomura Securities Co., Ltd., issuers in which the Nomura Group holds 1% or more of any class of common equity securities and issuers for which Nomura Securities Co., Ltd. has lead managed a public offering of equity or equity linked securities in the past 12 months are available at https://www.nomuraholdings.com/report/. Please contact the Research Production Operation Dept. of Nomura Securities Co., Ltd. for additional information.

Online availability of research and conflict-of-interest disclosures

Nomura Group research is available on www.nomuranow.com/research, Bloomberg, Capital IQ, Factset, LSEG.
Important disclosures may be read at http://go.nomuranow.com/research/m/Disclosures or requested from Nomura Securities International, Inc. If you have any difficulties with the website, please email grpsupport@nomura.com for help.

The analysts responsible for preparing this report have received compensation based upon various factors including the firm's total revenues, a portion of which is generated by Investment Banking activities. Unless otherwise noted, the non-US analysts listed at the front of this report are not registered/qualified as research analysts under FINRA rules, may not be associated persons of NSI, and may not be subject to FINRA Rule 2241 restrictions on communications with covered companies, public appearances, and trading securities held by a research analyst account.

Nomura Global Financial Products Inc. (NGFP) Nomura Derivative Products Inc. (NDP) and Nomura International plc. (NIplc) are registered with the Commodities Futures Trading Commission and the National Futures Association (NFA) as swap dealers. NGFP, NDPI, and NIplc are generally engaged in the trading of swaps and other derivative products, any of which may be the subject of this report.

Distribution of ratings (Nomura Group)

The distribution of all ratings published by Nomura Group Global Equity Research is as follows:
57% have been assigned a Buy rating which, for purposes of mandatory disclosures, are classified as a Buy rating; 34% of companies with this rating are investment banking clients of the Nomura Group*. 0% of companies (which are admitted to trading on a regulated market in the EEA) with this rating were supplied material services** by the Nomura Group.
41% have been assigned a Neutral rating which, for purposes of mandatory disclosures, is classified as a Hold rating; 57% of companies with this rating are investment banking clients of the Nomura Group*. 0% of companies (which are admitted to trading on a regulated market in the EEA) with this rating were supplied material services by the Nomura Group
2% have been assigned a Reduce rating which, for purposes of mandatory disclosures, are classified as a Sell rating; 0% of companies with this rating are investment banking clients of the Nomura Group*. 0% of companies (which are admitted to trading on a regulated market in the EEA) with this rating were supplied material services by the Nomura Group.
As at 31 March 2026.
**The Nomura Group as defined in the Disclaimer section at the end of this report.*
*** As defined by the EU Market Abuse Regulation*

Definition of Nomura Group's equity research rating system and sectors

The rating system is a relative system, indicating expected performance against a specific benchmark identified for each individual stock, subject to limited management discretion. An analyst’s target price is an assessment of the current intrinsic fair value of the stock based on an appropriate valuation methodology determined by the analyst. Valuation methodologies include, but are not limited to, discounted cash flow analysis, expected return on equity and multiple analysis. Analysts may also indicate expected absolute upside/downside relative to the stated target price, defined as (target price - current price)/current price.

STOCKS

A rating of **'Buy'**, indicates that the analyst expects the stock to outperform the Benchmark over the next 12 months. A rating of **'Neutral'**, indicates that the analyst expects the stock to perform in line with the Benchmark over the next 12 months. A rating of **'Reduce'**, indicates that the analyst expects the stock to underperform the Benchmark over the next 12 months. A rating of **'Suspended'**, indicates that the rating, target price and estimates have been suspended temporarily to comply with applicable regulations and/or firm policies. Securities and/or companies that are labelled as **'Not rated'** or shown as **'No rating'** are not in regular research coverage. Investors should not expect continuing or additional information from Nomura relating to such securities and/or companies. Benchmarks are as follows: **United States/Europe/Asia ex-Japan:** please see valuation methodologies for explanations of relevant benchmarks for stocks, which can be accessed at: http://go.nomuranow.com/research/m/Disclosures; **Global Emerging Markets (ex-Asia):** MSCI Emerging Markets ex-Asia, unless otherwise stated in the valuation methodology; **Japan:** Russell/Nomura Large Cap.

SECTORS

A **'Bullish'** stance, indicates that the analyst expects the sector to outperform the Benchmark during the next 12 months. A **'Neutral'** stance, indicates that the analyst expects the sector to perform in line with the Benchmark during the next 12 months. A **'Bearish'** stance, indicates that the analyst expects the sector to underperform the Benchmark during the next 12 months. Sectors that are labelled as **'Not rated'** or shown as **'N/A'** are not assigned ratings. Benchmarks are as follows: **United States:** S&P 500; **Europe:** Dow Jones STOXX 600; **Global Emerging Markets (ex-Asia):** MSCI Emerging Markets ex-Asia. **Japan/Asia ex-Japan:** Sector ratings are not assigned.

Target Price

A Target Price, if discussed, indicates the analyst's forecast for the share price with a 12-month time horizon, reflecting in part the analyst's estimates for the company's earnings. The achievement of any target price may be impeded by general market and macroeconomic trends, and by other risks related to the company or the market, and may not occur if the company's earnings differ from estimates.

Disclaimers

This publication contains material that has been prepared by the Nomura Group entity identified on page 1 and, if applicable, with the contributions of one or more Nomura Group entities whose employees and their respective affiliations are specified on page 1 or identified elsewhere in this publication. The term "Nomura Group" used herein refers to Nomura Holdings, Inc. and its affiliates and subsidiaries including: (a) Nomura Securities Co., Ltd. ('NSC') Tokyo, Japan, (b) Nomura Financial Products Europe GmbH ('NFPE'), Germany, (c) Nomura International plc ('NIplc'), UK, (d) Nomura Securities International, Inc. ('NSI'), New York, US, (e) Nomura International (Hong Kong) Ltd. ('NIHK'), Hong Kong, (f) Nomura Financial Investment (Korea) Co., Ltd. ('NFIK'), Korea (Information on Nomura analysts registered with the Korea Financial Investment Association ('KOFIA') can be found on the KOFIA Intranet at http://dis.kofia.or.kr, (g) Nomura Singapore Ltd. ('NSL'), Singapore (Registration number 197201440E, regulated by the Monetary Authority of Singapore) (h) Nomura Australia Ltd. ('NAL'), Australia (ABN 48 003 032 513), regulated by the Australian Securities and Investment Commission ('ASIC') and holder of an Australian financial services licence number 246412, (i) Nomura Securities Malaysia Sdn. Bhd. ('NSM'), Malaysia, (j) NIHK, Taipei Branch ('NITB'), Taiwan, (k) Nomura Financial Advisory and Securities (India) Private Limited ('NFASL'), Mumbai, India (Registered Address: Ceejay House, Level 11, Plot F, Shivsagar Estate, Dr. Annie Besant Road, Worli, Mumbai- 400 018, India; Tel: 91 22 4037 4037, Fax: 91 22 4037 4111; CIN No: U74140MH2007PTC169116, SEBI Registration No. for Stock Broking activities : INZ000255633; SEBI Registration No. for Merchant Banking : INM000011419; SEBI Registration No. for Research: INH000001014 - Compliance Officer: Ms. Pratiksha Tondwalkar, 91 22 40374904, grievance email: investorgrievancesra@nomura.com Webpage: LINK

For reports with respect to Indian public companies or authored by India-based NFASL research analysts: (i) Investment in securities markets is subject to market risks. Read all the related documents carefully before investing. (ii) Registration granted by SEBI, and certification from NISM in no way guarantee performance of the intermediary or provide any assurance of returns to investors. (iii) NFASL terms and conditions for availing research services is disclosed on NFASL webpage.

(l) Nomura Fiduciary Research & Consulting Co., Ltd. ('NFRC') Tokyo, Japan. (m) Nomura Orient International Securities Co., Ltd ("NOI"), is a majority owned joint venture amongst Nomura Group, Orient International (Holding) Co., Ltd, and Shanghai Huangpu Investment Holding (Group) Co., Ltd. In accordance with the laws of the People's Republic of China ("PRC", excluding Hong Kong, Macau and Taiwan, for the purpose of this document), NOI is licensed in the PRC to provide securities research and investment recommendations and it operates independently from the other members of the Nomura Group; in particular, NOI's interests in PRC securities are not disclosed to, or aggregated with the holdings of, any other Nomura Group entities and the interests in PRC securities of other Nomura Group entities are not disclosed to, or aggregated with the holdings of, NOI. An individual name printed next to NOI on the front page of a research report indicates that individual is employed by NOI to provide research assistance to NIHK under a research partnership agreement. 'NSFSPL' next to an employee's name on the front page of a research report indicates that the individual is employed by Nomura Structured Finance Services Private Limited to provide assistance to certain Nomura entities under inter-company agreements. 'Verdhana' next to an individual's name on the front page of a research report indicates that the individual is employed by PT Verdhana Sekuritas Indonesia ('Verdhana') to provide research assistance to NIHK under a research partnership agreement and neither Verdhana nor such individual is licensed outside of Indonesia.

THIS MATERIAL IS: (I) FOR YOUR PRIVATE INFORMATION, AND WE ARE NOT SOLICITING ANY ACTION BASED UPON IT; (II) NOT TO BE CONSTRUED AS AN OFFER TO SELL OR A SOLICITATION OF AN OFFER TO BUY ANY SECURITIES IN ANY JURISDICTION WHERE SUCH OFFER OR SOLICITATION WOULD BE ILLEGAL; AND (III) OTHER THAN DISCLOSURES RELATING TO THE NOMURA GROUP, BASED UPON INFORMATION FROM SOURCES THAT WE CONSIDER RELIABLE, BUT HAS NOT BEEN INDEPENDENTLY VERIFIED BY NOMURA GROUP.

Other than disclosures relating to the Nomura Group, the Nomura Group does not warrant, represent or undertake, express or implied, that the document is fair, accurate, complete, correct, reliable or fit for any particular purpose or merchantable, and to the maximum extent permissible by law and/or regulation, does not accept liability (in negligence or otherwise, and in whole or in part) for any act (or decision not to act) resulting from use of this document and related data. To the maximum extent permissible by law and/or regulation, all warranties and other assurances by the Nomura Group are hereby excluded and the Nomura Group shall have no liability (in negligence or otherwise, and in whole or in part) for any loss howsoever arising from the use, misuse, or distribution of this material or the information contained in this material or otherwise arising in connection therewith.

Opinions or estimates expressed are current opinions as of the original publication date appearing on this material and the information, including the opinions and estimates contained herein, are subject to change without notice. The Nomura Group, however, expressly disclaims any obligation, and therefore is under no duty, to update or revise this document. Any comments or statements made herein are those of the author(s) and may differ from views held by other parties within Nomura Group. Clients should consider whether any advice or recommendation in this report is suitable for their particular circumstances and, if appropriate, seek professional advice, including tax advice. The Nomura Group does not provide tax advice.

The Nomura Group, and/or its officers, directors, employees and affiliates, may, to the extent permitted by applicable law and/or regulation, deal as principal, agent, or otherwise, or have long or short positions in, or buy or sell, the securities, commodities or instruments, or options or other derivative instruments based thereon, of issuers or securities mentioned herein. The Nomura Group companies may also act as market maker or liquidity provider (within the meaning of applicable regulations in the UK) in the financial instruments of the issuer. Where the activity of market maker is carried out in accordance with the definition given to it by specific laws and regulations of the US or other jurisdictions, this will be separately disclosed within the specific issuer disclosures.

This document may contain information obtained from third parties, including, but not limited to, ratings from credit ratings agencies such as Standard & Poor's. The Nomura Group hereby expressly disclaims all representations, warranties or undertakings of originality, fairness, accuracy, completeness, correctness, merchantability or fitness for a particular purpose with respect to any of the information obtained from third parties contained in this material or otherwise arising in connection therewith, and shall not be liable (in negligence or otherwise, and in whole or in part) for any direct, indirect, incidental, exemplary, compensatory, punitive, special or consequential damages, costs, expenses, legal fees, or losses (including lost income or profits and opportunity costs) in connection with any use or misuse of any of the information obtained from third parties contained in this material or otherwise arising in connection therewith. Reproduction and distribution of third-party content in any form is prohibited except with the prior written permission of the related third-party. Third-party content providers do not, express or implied, guarantee the fairness, accuracy, completeness, correctness, timeliness or availability of any information, including ratings, and are not in any way responsible for any errors or omissions (negligent or otherwise), regardless of the cause, or for the results obtained from the use or misuse of such content. Third-party content providers give no express or implied warranties, including, but not limited to, any warranties of merchantability or fitness for a particular purpose or use. Third-party content providers shall not be liable (in negligence or otherwise, and in whole or in part) for any direct, indirect, incidental, exemplary, compensatory, punitive, special or consequential damages, costs, expenses, legal fees, or losses (including lost income or profits and opportunity costs) in connection with any use or misuse of their content, including ratings. Credit ratings are statements of opinions and are not statements of fact or recommendations to purchase hold or sell securities. They do not address the suitability of securities or the suitability of securities for investment purposes, and should not be relied on as investment advice.

Any MSCI sourced information in this document is the exclusive property of MSCI Inc. ('MSCI'). Without prior written permission of MSCI, this information and any other MSCI intellectual property may not be duplicated, reproduced, re-disseminated, redistributed or used, in whole or in part, for any purpose whatsoever, including creating any financial products and any indices. This information is provided on an "as is" basis. The user assumes the entire risk of any use made of this information. MSCI, its affiliates and any third party involved in, or related to, computing or compiling the information hereby expressly disclaim all representations, warranties or undertakings of originality, fairness, accuracy, completeness, correctness, merchantability or fitness for a particular purpose with respect to any of this material or the information contained in this material or otherwise arising in connection therewith. Without limiting any of the foregoing, in no event shall MSCI, any of its affiliates or any third party involved in, or related to, computing or compiling the information have any liability (in negligence or otherwise, and in whole or in part) for any damages of any kind. MSCI and the MSCI indexes are services marks of MSCI and its affiliates.

The intellectual property rights and any other rights, in Russell/Nomura Japan Equity Index belong to Nomura Fiduciary Research & Consulting Co., Ltd. ("NFRC") and FTSE Russell ("Russell"). NFRC and Russell do not guarantee fairness, accuracy, completeness, correctness, reliability, usefulness, marketability, merchantability or fitness of the Index, and do not account for business activities or services that any index user and/or its affiliates undertakes with the use of the Index.

Investors should consider this document as only a single factor in making their investment decision and, as such, the report should not be viewed as identifying or suggesting all risks, direct or indirect, that may be associated with any investment decision. Nomura Group produces a number of different types of research product including, among others, fundamental analysis and quantitative analysis; recommendations contained in one type of research product may differ from recommendations contained in other types of research product, whether as a result of differing time horizons, methodologies or otherwise. The Nomura Group publishes research product in a number of different ways including the posting of product on the Nomura Group portals and/or distribution directly to clients. Different groups of clients may receive different products and services from the research department depending on their individual requirements.

Figures presented herein may refer to past performance or simulations based on past performance which are not reliable indicators of future or likely performance. Where the information contains an expectation, projection or indication of future performance and business prospects, such forecasts may not be a reliable indicator of future or likely performance. Moreover, simulations are based on models and simplifying assumptions which may oversimplify and not reflect the future distribution of returns. Any figure, strategy or index created and published for illustrative purposes within this document is not intended for "use" as a "benchmark" as defined by the European Benchmark Regulation.

Certain securities are subject to fluctuations in exchange rates that could have an adverse effect on the value or price of, or income derived from, the investment.

With respect to Fixed Income Research: Recommendations fall into two categories: tactical, which typically last up to three months; or strategic, which typically last from 6-12 months. However, trade recommendations may be reviewed at any time as circumstances change. 'Stop loss' levels for trades are also provided; which, if hit, closes the trade recommendation automatically. Prices and yields shown in recommendations are taken at the time of submission for publication and are based on either indicative Bloomberg, LSEG or Nomura prices and yields at that time. The prices and yields shown are not necessarily those at which the trade recommendation can be implemented.

The securities described herein may not have been registered under the US Securities Act of 1933 (the '1933 Act'), and, in such case, may not be offered or sold in the US or to US persons unless they have been registered under the 1933 Act, or except in compliance with an exemption from the registration requirements of the 1933 Act. Unless governing law permits otherwise, any transaction should be executed via a Nomura entity in your home jurisdiction.

This document has been approved for distribution in the UK as investment research by NIplc. NIplc is authorised by the Prudential Regulation Authority and regulated by the Financial Conduct Authority and the Prudential Regulation Authority. NIplc is a member of the London Stock Exchange. This document does not constitute a personal recommendation within the meaning of applicable regulations in the UK, or take into account the particular investment objectives, financial situations, or needs of individual investors. This document is intended only for investors who are 'eligible counterparties' or 'professional clients' for the purposes of applicable regulations in the UK, and may not, therefore, be redistributed to persons who are 'retail clients' for such purposes.

This document has been approved for distribution in the European Economic Area as investment research by Nomura Financial Products Europe GmbH (“NFPE”). NFPE is a company organized as a limited liability company under German law registered in the Commercial Register of the Court of Frankfurt/Main under HRB 110223. NFPE is authorized and regulated by the German Federal Financial Supervisory Authority (BaFin).

This document has been approved by NIHK, which is regulated by the Hong Kong Securities and Futures Commission, for distribution in Hong Kong by NIHK. This document is intended only for investors who are 'professional investors' for the purposes of applicable regulations in Hong Kong and may not, therefore, be redistributed to persons who are not 'professional investors' for such purposes.

This document has been approved for distribution in Australia by NAL, which is authorized and regulated in Australia by the ASIC.

This document has also been approved for distribution in Malaysia by NSM.

In Singapore, this document has been distributed by NSL, an exempt financial adviser as defined under the Financial Advisers Act (Chapter 110), among other things, and regulated by the Monetary Authority of Singapore. NSL may distribute this document produced by its foreign affiliates pursuant to an arrangement under Regulation 32C of the Financial Advisers Regulations. This document is intended for accredited, expert or institutional investors as defined by the Securities and Futures Act (Chapter 289). Where the recipient of this document is not an accredited, expert or institutional investor, NSL accepts legal responsibility for the contents of this document in respect of such recipient only to the extent required by law. Recipients of this document in Singapore should contact NSL in respect of matters arising from, or in connection with, this document. THIS DOCUMENT IS INTENDED FOR GENERAL CIRCULATION. IT DOES NOT TAKE INTO ACCOUNT THE SPECIFIC INVESTMENT OBJECTIVES, FINANCIAL SITUATION OR PARTICULAR NEEDS OF ANY PARTICULAR PERSON. RECIPIENTS SHOULD TAKE INTO ACCOUNT THEIR SPECIFIC INVESTMENT OBJECTIVES, FINANCIAL SITUATION OR PARTICULAR NEEDS BEFORE MAKING A COMMITMENT TO PURCHASE ANY SECURITIES, INCLUDING SEEKING ADVICE FROM AN INDEPENDENT FINANCIAL ADVISER REGARDING THE SUITABILITY OF THE INVESTMENT, UNDER A SEPARATE ENGAGEMENT, AS THE RECIPIENT DEEMS FIT.

Unless prohibited by the provisions of Regulation S of the 1933 Act, this material is distributed in the US, by NSI, a US-registered broker-dealer, which accepts responsibility for its contents in accordance with the provisions of Rule 15a-6, under the US Securities Exchange Act of 1934.

The entity that prepared this document permits its separately operated affiliates within the Nomura Group to make copies of such documents available to their clients.

This document has not been approved for distribution to persons other than ‘Authorised Persons’, ‘Exempt Persons’ or ‘Institutions’ (as defined by the Capital Markets Authority) in the Kingdom of Saudi Arabia (‘Saudi Arabia’) or a ’Market Counterparty’ or a 'Professional Client' (as defined by the Dubai Financial Services Authority) in the United Arab Emirates (‘UAE’) or a ‘Market Counterparty’ or a ‘Business Customer’ (as defined by the Qatar Financial Centre Regulatory Authority) in the State of Qatar (‘Qatar’) by Nomura Saudi Arabia, NIplc or any other member of the Nomura Group, as the case may be. Neither this document nor any copy thereof may be taken or transmitted or distributed, directly or indirectly, by any person other than those authorised to do so into Saudi Arabia or in the UAE or in Qatar or to any person other than ‘Authorised Persons’, ‘Exempt Persons’ or ‘Institutions’ located in Saudi Arabia or a ’Market Counterparty’ or a 'Professional Client' in the UAE or a ‘Market Counterparty’ or a ‘Business Customer’ in Qatar. Any failure to comply with these restrictions may constitute a violation of the laws of the UAE or Saudi Arabia or Qatar.

For report with reference of TAIWAN public companies or authored by Taiwan based research analyst:

THIS DOCUMENT IS SOLELY FOR REFERENCE ONLY. You should independently evaluate the investment risks and are solely responsible for your investment decisions. NO PORTION OF THE REPORT MAY BE REPRODUCED OR QUOTED BY THE PRESS OR ANY OTHER PERSON WITHOUT WRITTEN AUTHORIZATION FROM NOMURA GROUP. Pursuant to Operational Regulations Governing Securities Firms Recommending Trades in Securities to Customers and/or other applicable laws or regulations in Taiwan, you are prohibited to provide the reports to others (including but not limited to related parties, affiliated companies and any other third parties) or engage in any activities in connection with the reports which may involve conflicts of interests. INFORMATION ON SECURITIES / INSTRUMENTS NOT EXECUTABLE BY NOMURA INTERNATIONAL (HONG KONG) LTD., TAIPEI BRANCH IS FOR INFORMATIONAL PURPOSES ONLY AND IS NOT BE CONSTRUED AS A RECOMMENDATION OR A SOLICITATION TO TRADE IN SUCH SECURITIES / INSTRUMENTS.

This material may not be distributed in Indonesia or passed on within the territory of the Republic of Indonesia or to persons who are Indonesian citizens (wherever they are domiciled or located) or entities of or residents in Indonesia in a manner which constitutes a public offering under the laws of the Republic of Indonesia. The securities mentioned in this document may not be offered or sold in Indonesia or to persons who are citizens of Indonesia (wherever they are domiciled or located) or entities of or residents in Indonesia in a manner which constitutes a public offering under the laws of the Republic of Indonesia.

An individual name printed next to NOI on the front page of a research report indicates that this document is a translation of a research report issued by NOI in the PRC. In all other cases, this document is prepared by Nomura Group or its subsidiary or affiliate (collectively, “Offshore Issuers”) that is not licensed in the PRC to provide securities research. This research report is not approved or intended to be circulated in the PRC. The A-share related analysis (if any) is not produced for any persons located or incorporated in the PRC. The recipients should not rely on any information contained in this research report in making investment decisions and Offshore Issuers take no responsibility in this regard.

NO PART OF THIS MATERIAL MAY BE (I) COPIED, PHOTOCOPIED, REPRODUCED OR DUPLICATED IN ANY FORM, BY ANY MEANS; OR (II) REDISSEMINATED, REPUBLISHED OR REDISTRIBUTED WITHOUT THE PRIOR WRITTEN CONSENT OF A MEMBER OF THE NOMURA GROUP. If this document has been distributed by electronic transmission, such as e-mail, then such transmission cannot be guaranteed to be secure or error-free as information could be intercepted, corrupted, lost, destroyed, arrive late or incomplete, or contain viruses. The sender therefore does not accept liability (in negligence or otherwise, and in whole or in part) for any errors or omissions in the contents of this document, which may arise as a result of electronic transmission. If verification is required, please request a hard-copy version.

Disclaimers required in Japan

Credit ratings in the text that are marked with an asterisk (*) are issued by a rating agency not registered under Japan’s Financial Instruments and Exchange Act (“Unregistered Ratings”). For details on Unregistered Ratings, please contact the Research Production Operation Dept. of Nomura Securities Co., Ltd.

Investors in the financial products offered by Nomura Securities may incur fees and commissions specific to those products (for example, transactions involving Japanese equities are subject to a sales commission (all figures on a tax-inclusive basis) of up to 1.43% of the transaction amount or a commission of ¥2,860 for transactions of ¥200,000 or less, while transactions involving investment trusts are subject to various fees, such as commissions at the time of purchase and asset management fees, such as commissions at the time of purchase and asset management fees (trust fees), specific to each investment trust).
In addition, all products carry the risk of losses owing to price fluctuations or other factors. Fees and risks vary by product. Please thoroughly read the written materials provided, such as documents delivered before making a contract, listed securities documents, or prospectuses.
Transactions involving Japanese equities (including Japanese REITs, Japanese ETFs, and Japanese ETNs, Japanese Infrastructure Funds) are subject to a sales commission of up to 1.43% (tax included) of the transaction amount (or a commission of ¥2,860 (tax included) for transactions of ¥200,000 or less). When Japanese equities are purchased via OTC transactions (including offerings), only the purchase price shall be paid, with no sales commission charged. However, Nomura Securities may charge a separate fee for OTC transactions, as agreed with the customer. Japanese equities carry the risk of losses owing to price fluctuations. Japanese REITs carry the risk of losses owing to fluctuations in price and/or earnings of underlying real estate. Japanese ETFs and ETNs carry the risk of losses owing to fluctuations in the underlying indexes or other benchmarks. Japanese Infrastructure Funds carry out the risk of losses owing to fluctuations in price and/or earnings of underlying infrastructures.
Transactions involving foreign equities are subject to a domestic sales commission of up to 1.045% (tax included) of the transaction amount (which equals the local transaction amount plus local fees and taxes in the case of a purchase or the local transaction amount minus local fees and taxes in the case of a sale) (for transaction amounts of ¥750,000 and below, maximum domestic sales commission is ¥7,810 (tax included)). Local fees and taxes in foreign financial instruments markets vary by country/territory. When foreign equities are purchased via OTC transactions (including offerings), only the purchase price shall be paid, with no sales commission charged. However, Nomura Securities may charge a separate fee for OTC transactions, as agreed with the customer. Foreign equities carry the risk of losses owing to factors such as price fluctuations and foreign exchange rate fluctuations.
Margin transactions are subject to a sales commission of up to 1.43% (tax included) of the transaction amount (or a commission of ¥2,860 (tax included) for transactions of ¥200,000 or less), as well as management fees and rights handling fees. In addition, long margin transactions are subject to interest on the purchase amount, while short margin transactions are subject to fees for the lending of the shares borrowed. A margin equal to at least 30% of the transaction amount (at least 33% for online transactions) and at least ¥300,000 is required. With margin transactions, an amount up to roughly 3.3x the margin (roughly 3x for online transactions) may be traded. Margin transactions therefore carry the risk of losses in excess of the margin owing to share price fluctuations. For details, please thoroughly read the written materials provided, such as listed securities documents or documents delivered before making a contract.
Transactions involving convertible bonds are subject to a sales commission of up to 1.10% (tax included) of the transaction amount (or a commission of ¥4,400 (tax included) if this would be less than ¥4,400). When convertible bonds are purchased via OTC transactions (including offerings), only the purchase price shall be paid, with no sales commission charged. However, Nomura Securities may charge a separate fee for OTC transactions, as agreed with the customer. Convertible bonds carry the risk of losses owing to factors such as interest rate fluctuations and price fluctuations in the underlying stock. In addition, convertible bonds denominated in foreign currencies also carry the risk of losses owing to factors such as foreign exchange rate fluctuations.
When bonds are purchased via public offerings, secondary distributions, or other OTC transactions with Nomura Securities, only the purchase price shall be paid, with no sales commission charged. Bonds carry the risk of losses, as prices fluctuate in line with changes in market interest rates. Bond prices may also fall below the invested principal as a result of such factors as changes in the management and financial circumstances of the issuer, or changes in third-party valuations of the bond in question. In addition, foreign currency-denominated bonds also carry the risk of losses owing to factors such as foreign exchange rate fluctuations.
When Japanese government bonds (JGBs) for individual investors are purchased via public offerings, only the purchase price shall be paid, with no sales commission charged. As a rule, JGBs for individual investors may not be sold in the first 12 months after issuance. When JGBs for individual investors are sold before maturity, an amount calculated via the following formula will be subtracted from the par value of the bond plus accrued interest: (1) for 10-year variable rate bonds, an amount equal to the two preceding coupon payments (before tax) x 0.79685 will be used, (2) for 5-year and 3-year fixed rate bonds, an amount equal to the two preceding coupon payments (before tax) x 0.79685 will be used.
When inflation-indexed JGBs are purchased via public offerings, secondary distributions (uridashi deals), or other OTC transactions with Nomura Securities, only the purchase price shall be paid, with no sales commission charged. Inflation-indexed JGBs carry the risk of losses, as prices fluctuate in line with changes in market interest rates and fluctuations in the nationwide consumer price index. The notional principal of inflation-indexed JGBs changes in line with the rate of change in nationwide CPI inflation from the time of its issuance. The amount of the coupon payment is calculated by multiplying the coupon rate by the notional principal at the time of payment. The maturity value is the amount of the notional principal when the issue becomes due. For JI17 and subsequent issues, the maturity value shall not undercut the face amount.
Purchases of investment trusts (and sales of some investment trusts) are subject to a purchase or sales fee of up to 5.5% (tax included) of the transaction amount. Also, a direct cost that may be incurred when selling investment trusts is a fee of up to 2.0% of the unit price at the time of redemption. Indirect costs that may be incurred during the course of holding investment trusts include, for domestic investment trusts, an asset management fee (trust fee) of up to 5.5% (tax included/annualized basis) of the net assets in trust, as well as fees based on investment performance. Other indirect costs may also be incurred. For foreign investment trusts, indirect fees may be incurred during the course of holding such as investment company compensation.
Investment trusts invest mainly in securities such as Japanese and foreign equities and bonds, whose prices fluctuate. Investment trust unit prices fluctuate owing to price fluctuations in the underlying assets and to foreign exchange rate fluctuations. As such, investment trusts carry the risk of losses. Fees and risks vary by investment trust. Maximum applicable fees are subject to change; please thoroughly read the written materials provided, such as prospectuses or documents delivered before making a contract.
In interest rate swap transactions and USD/JPY basis swap transactions ("interest rate swap transactions, etc."), only the agreed transaction payments shall be made on the settlement dates. Some interest rate swap transactions, etc. may require pledging of margin collateral. In some of these cases, transaction payments may exceed the amount of collateral. There shall be no advance notification of required collateral value or

collateral ratios as they vary depending on the transaction. Interest rate swap transactions, etc. carry the risk of losses owing to fluctuations in market prices in the interest rate, currency and other markets, as well as reference indices. Losses incurred as such may exceed the value of margin collateral, in which case margin calls may be triggered. In the event that both parties agree to enter a replacement (or termination) transaction, the interest rates received (paid) under the new arrangement may differ from those in the original arrangement, even if terms other than the interest rates are identical to those in the original transaction. Risks vary by transaction. Please thoroughly read the written materials provided, such as documents delivered before making a contract and disclosure statements.
In OTC transactions of credit default swaps (CDS), no sales commission will be charged. When entering into CDS transactions, the protection buyer will be required to pledge or entrust an agreed amount of margin collateral. In some of these cases, the transaction payments may exceed the amount of margin collateral. There shall be no advance notification of required collateral value or collateral ratios as they vary depending on the financial position of the protection buyer. CDS transactions carry the risk of losses owing to changes in the credit position of some or all of the referenced entities, and/or fluctuations of the interest rate market. The amount the protection buyer receives in the event that the CDS is triggered by a credit event may undercut the total amount of premiums that he/she has paid in the course of the transaction. Similarly, the amount the protection seller pays in the event of a credit event may exceed the total amount of premiums that he/she has received in the transaction. All other conditions being equal, the amount of premiums that the protection buyer pays and that received by the protection seller shall differ. In principle, CDS transactions will be limited to financial instruments business operators and qualified institutional investors.
Transfers of equities to another securities company via the Japan Securities Depository Center are subject to a transfer fee of up to ¥11,000 (tax included) per issue transferred depending on volume. No account fee will be charged for marketable securities or monies deposited.

Nomura Securities Co., Ltd.

Financial instruments firm registered with the Kanto Local Finance Bureau (registration No. 142)
Member associations: Japan Securities Dealers Association; Investment Management Association of Japan; The Financial Futures Association of Japan; Type II Financial Instruments Firms Association; and Japan Security Token Offering Association.

The Nomura Group manages conflicts with respect to the production of research through its compliance policies and procedures (including, but not limited to, Conflicts of Interest, Chinese Wall and Confidentiality policies) as well as through the maintenance of Chinese Walls and employee training.
Additional information regarding the methodologies or models used in the production of any investment recommendations contained within this document is available upon request by contacting the Research Analysts of Nomura listed on the front page. Disclosures information is available upon request and disclosure information is available at the Nomura Disclosure web page:
http://go.nomuranow.com/research/m/Disclosures
Copyright © 2026 Nomura Securities Co., Ltd., Japan. All rights reserved.